ECONOMIC SURVEYS

I.2.b.6

# NORWAY

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JUNE 1967

# BASIC STATISTICS OF NORWAY

## THE LAND

| | |
|---|---|
| Area (1,000 sq.km.) | 324 |
| Arable area (1,000 sq.km.) | 10 |
| Productive forest | 70 |
| Major cities (January 1967) | |
| Oslo | 485,200 |
| Bergen | 117,500 |

## THE PEOPLE

| | |
|---|---|
| Population (Jan. 1967) | 3,769,000 |
| No. of inhabitants per sq.km. | 12 |
| Net natural increase annual rate (average 1960-66) | 29,000 |
| per 1,000 inhabitants (average 1960-66) | 7.9 |
| Labour force total, 1966 (man years) | 1,534,300 |
| Of which, in agriculture, forestry and fishing | 285,200 |
| Net annual migration (average 1960-66) | — 410 |

## PRODUCTION

| | |
|---|---|
| Gross National Product in 1966 (millions of Kr. Norwegian definition) | 60,163 |
| GNP per head (US $) | 2,235 |
| Gross fixed capital formation (1966): | |
| Percentage of the GNP | 35 |
| Per head US $ | 782 |

## THE GOVERNMENT

| | |
|---|---|
| Public consumption in 1966 (percentage of GNP) | 13 |
| General government current revenue in 1966 (percentage of GNP) | 32 |
| Public gross fixed capital formation in 1966 (percentage of GNP) | 10 |

Last general election: 1965.

| | |
|---|---|
| Composition of Parliament (No. of seats) | |
| Labour party | 68 |
| Conservative party | 31 |
| Centre (Agrarian) party | 18 |
| Liberal party | 18 |
| Christian Democrats | 13 |
| Left-wing Socialist party | 2 |
| | 150 |

Next general election: 1969.

## LIVING STANDARDS

| | |
|---|---|
| Average hourly earnings of male industrial workers in 1966 (in kroner) | 9.84 |
| No. of passenger cars in use per 1,000 inhabitants (Dec. 1966) | 135 |
| No. of telephones per 1,000 inhabitants (Dec. 1966) | 251 |
| No. of radio licences per 1,000 inhabitants (Dec. 1966) | 290 |
| No. of television licences per 1,000 inhabitants (Dec. 1966) | 152 |

## FOREIGN TRADE

| | |
|---|---|
| Exports: | |
| Exports of goods and services as a percentage of GNP (average 1960-1966) | 37 |
| Main exports in 1966 (percentage of total commodity exports): | |
| Base metals and products thereof | 26 |
| Forestry products | 13 |
| Fish and fish products | 9 |
| Machinery, apparatus and transport equipment (excl. ships) | 9 |
| Imports: | |
| Imports of goods and services as a percentage of GNP (average 1960-66) | 38 |
| Main imports in 1966 (percentage of total commodity imports): | |
| Ships (average 1960-66) | 15 |
| Machinery, apparatus and transport equipment (excl. ships) | 23 |
| Raw materials (non-edible) incl. fuels and chemicals | 16 |
| Base metals and products thereof | 11 |

## THE CURRENCY

Monetary unit: Krone.

Currency unit per US $ ..... 7.14

ECONOMIC SURVEYS BY THE OECD

# NORWAY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

*The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:*

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

*The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.*

*The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.*

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## INTRODUCTION

The rapid expansion of recent years has continued to date, in contrast to the weakening of demand which has marked many other countries. A striking feature has been the steady increase in exports in the face of slower growth of world trade. The rise in domestic demand seems to have accelerated since the middle of last year, and with demand pressures strengthening rather than weakening, the foreign balance and price-cost trends have developed unfavourably. Prospects point to a further but perhaps rather slower increase in activity in the rest of the present year, following a certain weakening of the industrial order inflow in recent months. The rise in exports may slow down and business investment demand weaken. But other types of demand should rise fast. The deficit on the current account of the balance of payments is likely to increase sharply, but this will mainly reflect higher imports of ships which, to a large extent, are financed by foreign credits. Excluding imports of ships, the authorities expect the balance of payments to improve somewhat, and its financing not to create major problems.

Contra-cyclical policy may, thus, prove to be working appropriately in the remainder of 1967 in the sense that home demand is strengthening at a time when foreign demand is weakening. But the contra-cyclical movements in domestic demand have not been a very marked feature of economic developments of some earlier years of the present decade. Although underlying developments were generally satisfactory in the 1960's, with a very high rate of growth, the lack of flexibility has meant that demand pressures have been very strong over much of the period with adverse effects on prices and costs and the foreign balance.

Accordingly, after a summary of recent and prospective trends in the economy (Part I) and a review of the policy measures taken over the last year (Part II), this Survey discusses developments over the somewhat longer-term with the emphasis on demand management policy (Part III). Part IV considers the policy implications of recent and prospective developments.

# I. CURRENT TRENDS IN THE ECONOMY

*Output and Demand*

Real GNP rose by 4.5 per cent in 1966. This was somewhat less than the trend rate of growth in recent years (more than 5 per cent) but largely because bad weather early in the year reduced output in forestry, and had adverse effects on building activity. Production rose strongly in most other sectors (see Table 1). The increase in industrial production accelerated in the course of the year—in contrast to the general trend in Europe where there was little increase after the first quarter and some decline towards the end of the year. The advance in Norway was particularly sharp in basic metals and metal products.

TABLE 1. GROWTH OF OUTPUT AND EMPLOYMENT

*Percentage change from previous year.*

| | GROSS NATIONAL PRODUCT (VOLUME) | | | EMPLOYMENT (MAN-YEARS) | | |
|---|---|---|---|---|---|---|
| | 1965 | 1966 | 1967 | 1965 | 1966 | 1967 |
| Agriculture | — 4.9 | 5.4 | 4-5 | — 2.2 | — 2.2 | — 2.7 |
| Forestry | 7.1 | — 30.7 | 5 | — 4.2 | — 8.7 | — 4.8 |
| Fishing and whaling | 28.1 | 6.7 | — 5 | — 2.9 | — 3.0 | 1.3 |
| Manufacturing and mining | 6.1 | 5.9 | 5-6 | 1.5 | 1.7 | 1.2 |
| Building and construction | 2.8 | 4.8 | 5 | 0.1 | 0.9 | 2.9 |
| Electricity and water supply | 10.6 | — 0.8 | 9-10 | 0.7 | 0.7 | 1.4 |
| Retail and wholesale trade | 3.1 | 5.2 | 5 | 1.8 | 1.9 | 1.5 |
| Maritime transport | 9.0 | 6.8 | 9 | — 0.5 | — 0.4 | 0.6 |
| Other transport | 3.3 | 6.3 | 6 | 0.4 | 0.8 | 0.5 |
| Miscellaneous activities | 5.3 | 3.9 | 3 | 2.4 | 1.9 | 1.8 |
| *Gross national product/Total employment* | 5.3 | 4.5 | 5 | 0.6 | 0.7 | 0.8 |

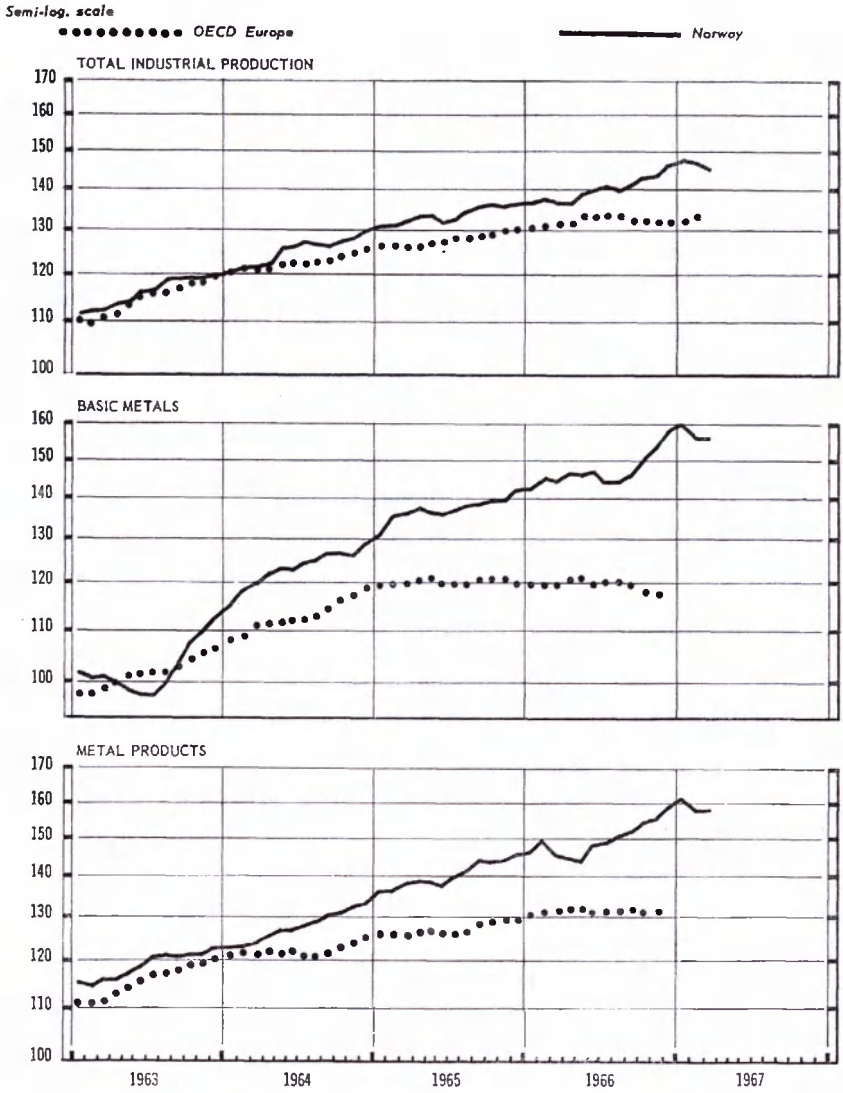
*Source:* Revised National Budget, 1967.

Table 2 shows that the continued strong expansion could partly be ascribed to the fact that exports held up remarkably well, despite the weakening of demand in important foreign markets; there was, however, a marked slowdown of the rise in exports in the course of the year. Moreover, home demand, excluding investment in ships, rose rather faster in real terms than in 1965. There was a marked acceleration in the growth of gross fixed asset formation other than ships, with a particularly sharp increase in industrial investment; due to a fortuitous fall in deliveries of ships, total investment increased less than a year earlier.

*Diagram 1.* **INDUSTRIAL PRODUCTION NORWAY—OECD EUROPE**

ADJUSTED FOR SEASONAL VARIATIONS, THREE MONTH MOVING AVERAGES

*1960 = 100*




*Source:* OECD Secretariat.

TABLE 2. GROSS NATIONAL PRODUCT AND EXPENDITURE

| | KR. MILLION (1966 PRICES) | | PERCENTAGE CHANGE FROM PREVIOUS YEAR (VOLUME) | | |
|---|---|---|---|---|---|
| | 1966 | 1967[1] | 1965 | 1966 | 1967[1] |
| Private consumption | 31,030 | 32,225 | 3.2 | 4.6 | 4 |
| Public consumption | 7,853 | 8,175 | 8.8 | 3.8 | 4 |
| Civil | 5,911 | 6,185 | 5.3 | 5.5 | 4.5 |
| Military | 1,942 | 1,990 | 18.9 | — 0.5 | 2.5 |
| Gross fixed asset formation | 21,052 | 22,990 | 6.9 | 5.3 | 9-9.5 |
| Building and construction | 9,930 | 10,465 | 3.1 | 5.0 | 5.5 |
| Machinery and transport equipment | 6,776 | 7,150 | 4.6 | 12.0 | 5.5 |
| Ships and other vessels | 4,346 | 5,375 | 16.7 | — 1.8 | 24 |
| Change in stocks | 888 | 600 | 1.3[2] | 1.5[2] | 1.0[2] |
| Exports | 22,367 | 24,450 | 7.0 | 7.2 | 9-9.5 |
| Goods (excl. ships) | 10,401 | 11,125 | 5.5 | 9.1 | 7 |
| Ships | 847 | 1,225 | 29.4 | — 14.3 | 45 |
| Gross freight earnings | 8,760 | 9,550 | 8.6 | 5.8 | 9 |
| Other services | 2,359 | 2,550 | 0.1 | 12.8 | 8 |
| *Total demand* | 83,190 | 88,440 | 6.5 | 5.6 | 6-6.5 |
| Imports | 23,027 | 25,320 | 9.4 | 7.9 | 10 |
| Goods (excl. ships) | 14,932 | 15,700 | 8.4 | 11.5 | 5 |
| Ships | 2,403 | 3,535 | 20.4 | — 8.2 | 47 |
| Shipping expenses abroad | 4,000 | 4,200 | 7.8 | 4.1 | 5 |
| Other services | 1,692 | 1,885 | 1.7 | 18.4 | 11.5 |
| *Gross national product* | 60,163 | 63,120 | 5.3 | 4.5 | 5 |

1. Official estimates.
2. Per cent of GNP.

*Source:* Revised National Budget, 1967.

Quarterly information suggests that the acceleration continued throughout the year. With the strong rise in investment in recent years, the ratio between fixed investment and GNP is now higher than in any OECD country except Japan; even if shipping is excluded, the ratio is still high, although more in line with the levels in other countries. Inventory accumulation also increased sharply in 1966, partly reflecting an involuntary build-up of stocks of export products, notably herring meal, other fish products and fertilizers; more important, however, was an appreciable increase in stockbuilding of other products, entailing a sharp increase in imports towards the end of the year. Private consumption rose faster than in 1965, influenced by income revisions and a relatively moderate price rise. Public current expenditure increased less than earlier, reflect-

ing a decline in defence spending following the strong increase of the preceding year.

According to the revised national budget published in April, the authorities expect a further strong expansion in 1967, partly because of more normal weather conditions last winter. The volume of merchandise exports (excluding ships) is thought likely to rise by 7 per cent, rather less than last year; but exports of ships should recover sharply from last year's decline. Fixed investment trends are rather mixed. Ship deliveries will increase significantly, but mainly from abroad, with little effect on activity in Norway. Excluding ships, fixed investment is likely to rise less than last year, reflecting weaker business investment demand; an enquiry taken at the beginning of the year pointed to a levelling off of industrial fixed asset formation. But residential construction should rise strongly this year, encouraged by government policy, and public investment is also expected to increase faster than in 1966. Inventory accumulation may decline somewhat from last year's high level. Private consumption in real terms may rise slightly less fast because of a stronger increase in prices, while public consumption should grow at about the same rate as in 1966. On this basis, the authorities expect a 5 per cent increase in real GNP with most sectors sharing in the expansion, except fishing and whaling where some decline is envisaged because of smaller catches and weaker foreign demand.

This picture of a slightly stronger year-to-year growth of GNP is not inconsistent with recent signs that demand might be weakening in certain sectors. The order inflow to the iron, metals and engineering industries in the last quarter of 1966 fell below the level of a year earlier, a trend which continued in the first quarter, with foreign orders showing the sharpest decrease. The value of orders on hand also declined somewhat in the first quarter, though remaining high. Although quarter-to-quarter developments have been somewhat irregular, there are also indications that the rise in exports is slowing down, and a similar tendency has been apparent in industrial production in recent months. But unless demand henceforth weakens more than recent development would suggest likely, the sort of year-to-year growth envisaged in the national budget forecasts should be achieved because output expanded strongly in the course of last year and, in the first quarter of 1967, was considerably higher than the 1966 average. On this basis there would seem grounds for expecting that demand pressures will not strengthen in the months ahead.

*Employment*

The desirability of preventing an aggravation can be seen from the labour market. There has been a shortage of labour in most postwar years, and conditions became unusually tight in 1966. Since the

## TABLE 3. FACTOR INCOMES

| | KR. MILLION | | | | | PERCENTAGE CHANGE FROM PREVIOUS YEAR | | | |
|---|---|---|---|---|---|---|---|---|---|
| | 1962 | 1963 | 1964 | 1965 | 1966 | 1963 | 1964 | 1965 | 1966 |
| Total factor income | 29,816 | 32,516 | 35,784 | 39,627 | 42,766 | 9.1 | 10.1 | 10.7 | 7.9 |
| Wages and salaries[1] | 19,584 | 21,070 | 22,901 | 25,177 | 27,660 | 7.6 | 8.7 | 9.9 | 9.9 |
| Other private income | 9,701 | 10,882 | 12,462 | 13,855 | 14,471 | 12.2 | 14.5 | 11.2 | 4.4 |
| *of which:* protected industries[2] | 6,884 | 7,812 | 8,524 | 9,199 | 9,916 | 13.5 | 9.1 | 7.9 | 7.8 |
| non-protected industries[2] | 2,817 | 3,070 | 3,938 | 4,656 | 4,555 | 9.0 | 18.3 | 18.2 | — 2.2 |
| Public and foreign unearned income | 531 | 564 | 421 | 595 | 635 | 6.2 | — 25.4 | 41.3 | 6.7 |
| Wage and salary income as per cent of factor income | 65.7 | 64.8 | 64.0 | 63.5 | 64.7 | .. | .. | .. | .. |

1. Including fringe benefits paid by the employers.
2. Non-protected industries are those which by the authorities are considered as exposed to foreign competition i.e. forestry, fishing, whaling, mining, maritime transport air transport and manufacturing industries working on export markets or under competition from imported goods.

*Source:* Revised National Budget, 1967.

middle of the year the unemployment ratio, seasonally adjusted, has remained below 1 per cent, partly because of the generally strong upward trend in demand, and partly because of a decline in structural unemployment, seasonally as well as regionally, influenced by buoyant activity in the fisheries and the fish-processing industries.

The strain on the labour market has to some extent been eased by a relatively big supply of new entrants to the labour force. The number of wage and salary earners increased by 1.3 per cent in 1966; measured in man-years the rise was smaller (0.7 per cent) because of a decline in the number of self-employed. Employment in manufacturing rose by almost 2 per cent (man-years), faster than in several years, with both home market and export industries increasing their labour intake. Agriculture, forestry, fishing and whaling continued to release labour corresponding to about 0.5 per cent of the total labour force. Employment in shipping has also declined in recent years, despite the sharp increase in tonnage, influenced by rapid technological progress and some change in crew regulations. A feature in the labour market in the 1960's has been the decline in the average age of the labour force, reflecting a growing number of people reaching working age. This has increased occupational and regional mobility and facilitated technological progress and structural change. In 1967 the authorities expect a slightly faster increase in employment than last year. Much of the increase has already taken place, so that in the course of the year the increase should be more moderate, in line with the trend of activity.

### *Incomes and Prices*

Table 3 shows that total factor income in 1966 rose rather less than in 1965. The slowdown reflected the more moderate advance in output, and the fact that there was an unfavourable terms of trade effect. The two preceding years taken together had benefited from an improvement in the terms of trade corresponding to 1.5 per cent of a year's gross national income. In real terms the slowdown of the rise in incomes was smaller because of a more moderate price rise. As in 1965, the total wage bill rose by about 10 per cent. Industries exposed to foreign competition showed a somewhat lower increase and their gross profits fell after rising by as much as 65 per cent between 1962 and 1965 (see Table 3). The non-wage share of factor income dropped sharply, but remained above the level of 3-4 years ago.

The general wage revision of 1966, which covered most workers, was decided by compulsory arbitration, as a voluntary agreement could not be reached. The decision of the Official Arbitration Board (which was set up for the occasion according to authorisation by Parliament) provided for average wage increases of 4.8 per cent in the spring of 1966

and 0.3 per cent a year later, favouring in particular lower-paid wage earners. Since farmers are regarded as a low-income group, the 1966 agricultural settlement involved increases in their incomes of about 10 per cent from mid-1966 and of about 3 per cent from mid-1967, mainly through higher prices. Both settlements included price escalation clauses. By April 1967 the consumer price index had risen by more than 4 per cent from March 1966, thereby releasing automatic price compensation for both workers and farmers. Workers were entitled to a compensation averaging 70 per cent, while the formula by which the farmers are compensated implies more than full percentage compensation. Moreover, negotiations are now taking place between the Government and the farmers' organisations to find a way of compensating for the rise in farm costs, which recently passed the ceiling fixed by the income agreement. In 1966, as in 1965, total wage costs per employed person increased by about 8.5 per cent, of which 1 per cent was due to higher social costs paid by the employers. The increase in 1967 is unlikely to be much lower than this. Nevertheless, given the strong upward trend in costs abroad and the high productivity increases, the estimates included in Table 4 suggest that the cost position of Norwegian industry relative to that of competing countries has remained roughly unchanged in recent

TABLE 4. **NORWAY'S COMPETITIVE POSITION**

INDICES[1]

| YEAR | WHOLESALE PRICES | | LABOUR COST—ALL SECTORS[2] | | LABOUR COST—MANUFACTURING | | | |
|---|---|---|---|---|---|---|---|---|
| | | | | | A[3] | | B[4] | |
| | NORWAY | COMPETITORS | NORWAY | COMPETITORS | NORWAY | COMPETITORS | NORWAY | COMPETITORS |
| 1958 | 100 | 100 | 100 | 100 | 100 | 100 | 100 | 100 |
| 1959 | 100 | 99.5 | 103.5 | 100 | 104 | 99 | 101 | 100.5 |
| 1960 | 101 | 100.5 | 104 | 103 | 103 | 101.5 | 99 | 102 |
| 1961 | 102 | 102 | 105 | 107.5 | 108 | 108 | 101.5 | 106.5 |
| 1962 | 104 | 103 | 114 | 112.5 | 115 | 111.5 | 109 | 110 |
| 1963 | 105 | 105 | 116 | 117.5 | 115.5 | 115 | 108.5 | 113 |
| 1964 | 109 | 108 | 118.5 | 121.5 | 114.5 | 114 | 108.5 | 110 |
| 1965 | 112 | 109.5 | .. | .. | 118 | 119 | 112.5 | 114.5 |
| 1966 | 114 | 113.5 | .. | .. | 123.5 | 122.5 | 116 | 117 |

1. Time series for competitive countries have been weighted together with a set of coefficients taking account of the importance of the country's competitive exports to the Norwegian home market and the importance of its competitive position on the Norwegian export markets.
2. Total wage bill per GNP unit.
3. Direct labour cost per output unit in manufacturing, according to indices of production, employment and hourly earnings.
4. Changes in working hours are also taken into consideration.

*Source:* Norwegian Ministry of Finance.

years. It should, however, be emphasized that cost comparisons are uncertain because statistics are not always complete or comparable from country to country.

During 1966 the consumers' price index rose by 4.5 per cent; 1.2 percentage points resulted from the revision of farmers' incomes, but apart from this the rise was also stronger than previously. In the first months of 1967, consumer prices were rising at about the same pace as in early 1966, or at an annual rate of about 4 per cent. But the underlying price trend for goods and services produced domestically has become steeper, as the rise in import prices has been reversed. The rise in building prices has accelerated since the end of 1966, reflecting higher wage costs. According to estimates made by a Norwegian expert committee, the rest of 1967 is likely to see prices increasing at the rate experienced at the beginning of the year. In this case, there should be no further automatic income adjustments in the period covered by existing wage agreements.

TABLE 5. **DEVELOPMENT OF PRICES**

*Percentage change during the year*[1].

| | IMPORT PRICES (EXCL. SHIPS) | WHOLESALE PRICES | CONSUMER PRICES | BUILDING COSTS[2] |
|---|---|---|---|---|
| 1960 | — 1.0 | 0.0 | 0.0 | 0.5 |
| 1961 | — 0.5 | 2.0 | 5.0 | 6.5 |
| 1962 | — 0.5 | 1.0 | 4.8 | 1.3 |
| 1963 | 2.5 | 2.5 | 2.7 | 1.9 |
| 1964 | 1.0 | 3.8 | 5.8 | 5.6 |
| 1965 | — 1.0 | 1.8 | 2.9 | 4.4 |
| 1966 | 0.5 | 2.3 | 4.5 | 5.1 |

1. Observations centered to 1st January by means of unweighted averages of fourth quarter and first quarter (import prices) or December and January (other series).
2. A/S Stormbull's index of total building costs for dwellings in Oslo.

*Source:* Monthly Bulletin of Statistics, Central Bureau of Statistics.

### *Balance of Payments*

The strong increase in exports in 1966 meant that Norway continued to increase its share of foreign markets (see Tables 6 and 7). This reflected mainly an increase in the share of the EFTA market (including Finland) while the position in the EEC remained about unchanged, and the share of the US market fell.

### Table 6. NORWAY'S RELATIVE EXPORT PERFORMANCE

*Percentage change from previous year.*

| | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|
| Growth of export markets[1] | 5.7 | 8.1 | 13.8 | 10.3 | 7.9 |
| Actual growth of exports | 4.4 | 10.4 | 20.3 | 11.8 | 8.3 |
| Gain or loss | — 1.3 | 2.3 | 6.5 | 1.5 | 0.4 |

1. The growth which would have occurred in Norwegian exports if it had maintained its share in OECD exports to each market.

*Source:* OECD Secretariat.

### Table 7. NORWEGIAN SHARE OF EXPORT MARKETS MANUFACTURED PRODUCTS AND CRUDE MATERIALS[1]

*Imports from Norway in per cent of total imports.*

| | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966[2] |
|---|---|---|---|---|---|---|---|
| EFTA | 2.59 | 2.46 | 2.34 | 2.37 | 2.52 | 2.64 | 2.76 |
| *of which:* United Kingdom | 2.63 | 2.59 | 2.35 | 2.43 | 2.64 | 2.46 | 2.65 |
| Denmark | 4.21 | 4.31 | 4.17 | 4.06 | 3.93 | 4.54 | 4.67 |
| Sweden | 4.50 | 4.43 | 4.54 | 4.56 | 4.76 | 5.40 | 5.67 |
| Finland | 1.53 | 1.39 | 1.53 | 1.86 | 1.63 | 1.72 | 2.22 |
| EEC | 0.93 | 0.86 | 0.87 | 0.91 | 0.95 | 0.92 | 0.90 |
| *of which:* Germany | 1.59 | 1.52 | 1.60 | 1.73 | 1.74 | 1,58 | 1.63 |
| United States | 0.78 | 0.81 | 0.66 | 0.78 | 0.82 | 0.71 | 0.57 |

1. SITC section 2, 5-9.
2. Estimates on the basis of Jan.-Sept. (Germany, Belgium-Luxembourg and Portugal) or Jan.-Dec. (other countries).

*Sources:* UN Statistical Papers series D, OECD Foreign Trade Statistics series B and national statistics.

The export performance may to some extent have reflected a favourable commodity pattern, notably the sharp increase in aluminium shipments—an important export product for which foreign demand remained buoyant and domestic capacity rose sharply last year. On the other hand, marketing conditions for fertilizers, steel, ferro-alloys and fish products became more difficult and foreign demand for ores and pulp remained weak. Despite lower prices on most fish products, particularly herring meal and oil, bigger catches ensured a further growth of export value. Recent years have seen a remarkable advance in exports of

machinery, transport equipment and other highly processed goods. This tendency strengthened in 1966, and in the first months of 1967, a promising development towards the greater diversification of exports.

TABLE 8. **GROWTH OF NORWEGIAN EXPORT ITEMS**

CURRENT PRICES

| SITC | PER CENT OF TOTAL EXPORTS | PERCENTAGE CHANGE FROM PREVIOUS YEAR | | | |
|---|---|---|---|---|---|
| | 1966 | 1964 | 1965 | 1966 | JAN.-APRIL 1967 |
| 0. Food and live animals | 14.4 | 11.2 | 21.5 | 5.2 | 13.3 |
| 031-32. Fish and fish preparation | 9.5 | 1.0 | 17.1 | 6.2 | — 1.0 |
| 08. Feeding stuff for animals | 3.1 | 79.2 | 75.8 | 1.3 | 57.3 |
| 1. Beverages and tobacco | 0.2 | 20.1 | 2.9 | 1.7 | 6.7 |
| 2. Crude materials | 12.0 | 17.3 | 4.6 | — 1.1 | — 10.1 |
| 25. Pulp and paper | 5.1 | 15.1 | 4.5 | — 8.2 | — 12.6 |
| 3. Mineral fuels, lubricants, etc. | 1.7 | 16.0 | — 8.0 | — 18.7 | 16.4 |
| 4. Animal and vegetable oils and fats | 3.3 | 22.4 | 27.3 | 14.6 | — 20.0 |
| 5. Chemicals | 8.8 | 17.8 | 17.7 | 5.1 | 4.8 |
| 56. Fertilizers | 3.9 | 6.7 | 23.1 | — 6.4 | — 15.6 |
| 6. Basic manufactured products | 39.1 | 24.8 | 4.3 | 14.3 | 5.7 |
| 64. Paper and paper products | 8.1 | 14.0 | 3.5 | 2.4 | 8.0 |
| 67. Iron and steel | 7.2 | 25.1 | 9.4 | 1.4 | 15.5 |
| 684. Aluminium | 10.8 | 31.4 | — 3.3 | 41.4 | — 3.3 |
| 7. Machinery and transport equipment (excluding ships) | 9.0 | 20.5 | 19.0 | 19.9 | 33.1 |
| 735. Ships | 7.6 | 31.7 | 42.6 | — 6.5 | 38.1 |
| 8. Miscellaneous manufactured products | 3.4 | 15.4 | 11.5 | 19.9 | 26.2 |
| 9. Other | 0.5 | — 3.6 | — 39.2 | 35.4 | 41.6 |
| 0-9. Total exports | 100.0 | 20.3 | 11.8 | 8.3 | 9.4 |
| " " excl. ships | 92.4 | 19.5 | 9.5 | 9.6 | 7.1 |

*Source:* Monthly Bulletin of External Trade, Central Bureau of Statistics.

Table 9 shows the geographical pattern of exports. The strong increase in shipments to EFTA countries, notably Denmark and Sweden, slowed down in 1966; the slackening of trade with Sweden partly reflected the slower expansion of activity in that country after mid-year. Exports to the United Kingdom picked up sharply from the modest advance in 1965, mainly because of bigger shipments of non-ferrous metals, notably aluminium. Sales to EEC countries increased much faster than earlier, partly reflecting a recovery of exports to Germany, despite the weakening of the German conjuncture; a strong

trend in non-ferrous metals was again an important factor. In the first four months of 1967, the picture changed somewhat; sales to Denmark recovered while sales to Germany fell.

TABLE 9. EXPORTS BY COUNTRY

CURRENT PRICES

| | PER CENT OF TOTAL EXPORTS EXCL. SHIPS | PERCENTAGE INCREASE FROM PREVIOUS YEAR | | | |
|---|---|---|---|---|---|
| | 1966 | 1964 | 1965 | 1966 | JAN.-APRIL 1967 |
| EFTA | 45.1 | 26.5 | 13.0 | 9.0 | 8.9 |
| Denmark | 7.0 | 11.3 | 18.5 | 5.3 | 15.9 |
| Sweden | 16.2 | 28.1 | 23.1 | 6.6 | 6.7 |
| United Kingdom | 19.8 | 32.6 | 3.9 | 12.9 | 8.7 |
| Other EFTA | 2.1 | 17.2 | 11.1 | 6.2 | 3.4 |
| Finland | 2.3 | 32.3 | 25.5 | 27.7 | 2.5 |
| EEC | 25.8 | 15.6 | 3.9 | 8.6 | 0.4 |
| Germany | 14.3 | 15.6 | 1.0 | 9.8 | — 4.7 |
| Belgium-Luxembourg | 2.1 | 12.2 | 18.7 | 25.2 | — 0.7 |
| France | 3.2 | 31.8 | — 8.1 | 6.3 | — 2.0 |
| Italy | 3.2 | — 7.5 | 15.5 | 21.3 | 23.4 |
| Netherlands | 3.0 | 24.4 | 14.5 | — 11.8 | 5.4 |
| United States | 9.6 | 13.6 | 7.1 | 8.3 | 17.4 |
| Rest of World | 17.2 | 11.6 | 9.6 | 12.1 | 6.7 |
| Total, excl. ships | 100.0 | 19.5 | 9.5 | 9.6 | 7.1 |
| Ships | 8.2 | 31.7 | 42.6 | — 6.5 | 38.1 |
| Total exports | 108.2 | 20.3 | 11.8 | 8.3 | 9.4 |

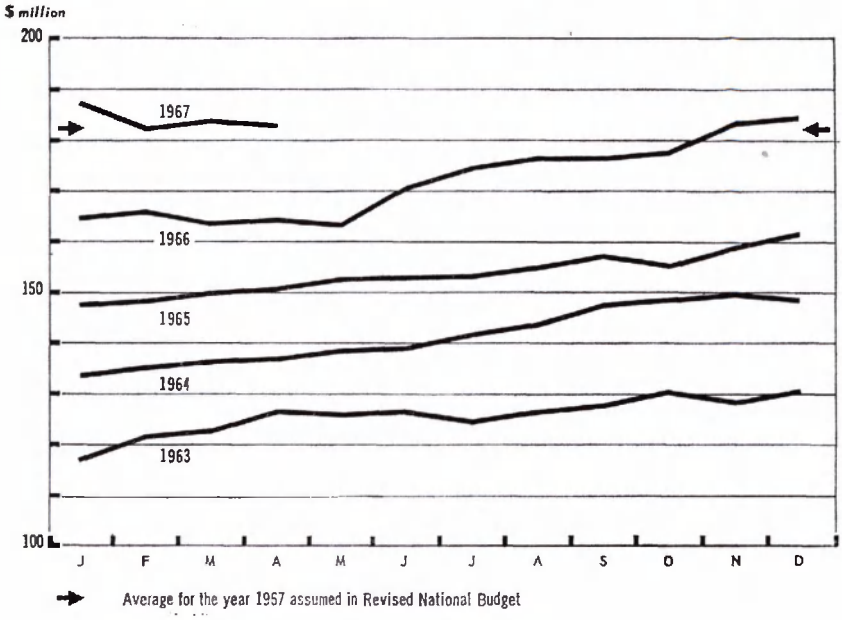
*Sources:* External trade, Volume III 1963, 1964 and 1965 and Monthly Bulletin of External Trade, Central Bureau of Statistics.

Imports also rose rapidly last year, reflecting the increase in aggregate demand. The increase was particularly marked in the second half of the year, influenced by greater inventory accumulation; seasonally adjusted imports (excluding ships) rose by 10 per cent between the two half-years. Imports of ships declined last year, following the strong increase in the previous year. But there was a strong pick-up in the last quarter, representing the beginning of the new wave of deliveries following the large number of orders placed up to the beginning of 1966.

The trade deficit thus rose further last year, whether measured with or without trade in ships. The invisible balance improved, but only moderately because of a decline in freight rates; net shipping earnings

*Diagram 2.* **IMPORTS OF GOODS, EXCLUDING SHIPS**

ADJUSTED FOR SEASONAL VARIATIONS, THREE MONTH MOVING AVERAGES




*Source:* OECD Secretariat.

rose by only 3 per cent although the operating fleet increased by 7 per cent. The terms of trade for goods and services taken together deteriorated slightly. The current deficit was therefore higher than in 1965.

The fluctuations in exports and imports of ships complicate an assessment of the external economy. Exclusion of ship imports, sales of second-hand ships and net freight earnings may therefore give a clearer picture of the underlying developments. The deficit on the remaining current transactions has developed as follows:

*$ million.*

| 1963 | 1964 | 1965 | 1966 | FORECAST 1967 |
|---|---|---|---|---|
| 450 | 460 | 470 | 580 | 580 |

TABLE 10. THE BALANCE OF PAYMENTS[1]

$ *million.*

| | 1965 | 1966 | 1967[2] |
|---|---|---|---|
| Imports of goods, cif | — 2,235 | — 2,427 | — 2,688 |
| *of which:* ships | — 363 | — 336 | — 490 |
| Exports of goods, fob | 1,453 | 1,575 | 1,694 |
| *of which:* ships | 127 | 118 | 154 |
| TRADE BALANCE | — 782 | — 852 | — 994 |
| *of which:* ships | — 236 | — 218 | — 336 |
| Net freight earnings | 647 | 666 | 686 |
| Other services, net | 89 | 93 | 95 |
| BALANCE ON GOODS AND SERVICES | — 46 | — 93 | — 213 |
| Interest and transfers, net | — 63 | — 71 | — 88 |
| BALANCE ON CURRENT ACCOUNT | — 109 | — 164 | — 301 |
| Redemptions: | | | |
| Public administration | — 26 | — 28 | — 24 |
| Public enterprises | — 6 | — 5 | — 4 |
| Other sectors[3] | — 8 | — 11 | — 31 |
| Long-term lending | — 38 | — 10 | — 28 |
| Borrowing by public administrations | 64 | 18 | 35 |
| Borrowing by public enterprises | 54 | 1 | 28 |
| Direct investment, net | 22 | 28 | 252 |
| Other private long-term borrowing[4] | 141 | 144 | |
| *of which:* by imports of ships | 100 | 66 | 210 |
| Long-term borrowing by financial institutions | — 1 | — 4 | .. |
| Errors and omissions | 32 | 20 | .. |
| CHANGE IN SHORT-TERM FOREIGN ASSETS | 125 | — 11 | .. |

1. According to Norwegian definitions. The balance of payments according to OECD definition[5] is shown in the Statistical Annex.
2. Official estimates.
3. Excluding shipping firms.
4. Excluding financial institutions.

*Source:* Revised National Budget, 1967.

Many factors may make it hazardous to draw any firm conclusions from such figures. Although much of the production, investment and financing of the shipping sector takes place outside Norway, shipping has a direct and indirect influence on foreign sales and purchases of other sectors; the exports from the shipbuilding industry will be affected by the volume of deliveries to Norwegian shipowners (an exclusion of sales of new ships would not change the above picture much); changes in the extent to which domestic productive resources, for instance labour, are employed by the shipping sector also play a role. Nevertheless, there would seem good reasons to believe that the underlying trend of the current balance has deteriorated from 1963 to 1966. In relation to GNP, however, the current deficit has remained about unchanged over this period (the relationship measured excluding the shipping sector).

Despite the higher balance of payments deficit, official gold and foreign exchange holdings (including the IMF position) increased by $53 million in 1966. The business sector increased its net long-term borrowing at the same rate as in 1965 despite much smaller borrowing by shipping companies, whereas the public sector reduced its foreign debt. The banks cut their outstanding foreign claims. In total, short-term debt increased roughly in pace with foreign reserves so that the "exchange liquidity position" remained about unchanged from the end of 1965. Official gross reserves saw a small rise in the early months of 1967, to $551 million—the equivalent of 2½ months' merchandise imports—at the end of April.

The Norwegian authorities expect the increase in merchandise exports (excluding ships) to fall to 6 per cent in 1967, compared with almost 10 per cent in 1966. This forecast could prove optimistic, given a levelling out of exports in the first months of 1967 and a smaller inflow of export orders. Since exports of ships should rise substantially, total exports may again rise by 7-8 per cent. Imports (excluding ships) are expected to rise by only 5 per cent, partly because inventory accumulation should be more moderate than in 1966. But this level had already been reached in the first five months of the year, so that the estimate implies a subsequent levelling out. Imports of ships are likely to increase significantly, and this the main reason for the sharp increase of the trade deficit foreseen in the official estimates. The terms of trade for goods and services may deteriorate by 2.5 per cent. Freight rates are likely to remain low, and the volume of laid-up ships may grow. The rise in net freight earnings will therefore probably remain moderate. On this basis, the current deficit is expected to increase to $300 million. The deficit should be financed by a capital inflow, much of it related to imports of ships.

## II. ECONOMIC POLICY

In recent years, demand management policy has been directed towards restraint. (A summary indication of policy measures over the last eight years is contained in the Appendix). Nevertheless, the pressure of demand has continued to grow almost unabated to date. Fresh measures were therefore taken in March 1967.

### *Fiscal Policy*

Budget policy was tightened in 1966. Expenditure on goods, services and transfers rose less fast than earlier, and indirect taxes were increased at mid-year, the additional revenue representing 1.4 per cent

of total receipts on an annual basis. The surplus on current and investment account (financial savings) rose by Kr. 300 million, about 0.5 per cent of GNP.

TABLE 11. CENTRAL GOVERNMENT BUDGET

| | 1964 ACTUAL | 1965 ACTUAL | 1966 ACTUAL | 1966 APPROVED BUDGET | 1967 APPROVED BUDGET[4] |
|---|---|---|---|---|---|
| | *Kr million.* | | | | |
| Total revenue | 9,213 | 10,225 | 11,322 | 11,096 | 12,286 |
| Purchase of goods and services, and transfers | 8,901 | 10,023 | 10,829 | 11,047 | 12,267 |
| Current expenditures | 3,563 | 4,017 | 4,368 | 4,632 | 5,151 |
| New buildings, construction, etc.[1] | 1,637 | 1,679 | 1,864 | 1,877 | 2,031 |
| Transfers to others | 3,701 | 4,327 | 4,597 | 4,538 | 5,085 |
| *Surplus on current and investment account (financial savings)* | 312 | 202 | 493 | 49 | 19 |
| Loan transactions | 1,612 | 1,559 | 1,346 | 1,427 | 1,724 |
| Loans to State banks (incl. interest-free loans) | 814 | 921 | 875 | 959 | 1,270 |
| Debt redemption | 606 | 498 | 422 | 423 | 422 |
| Other loans, share subscriptions, etc. | 212 | 161 | 76 | 67 | 59 |
| Redemption payments received | — 20 | — 21 | — 27 | — 22 | — 27 |
| Increase in floating debt | — | — | 52 | 76 | 64 |
| *Overall balance*[2] | — 1,300 | — 1,357 | — 801 | — 1,302 | — 1,641 |
| *Changes from previous year, per cent*[3]: | *Per cent* | | | | |
| Total revenue | 10.8 | 11.0 | 10.7 | .. | 10.7 |
| Purchase of goods and services, and transfers | 10.2 | 12.6 | 8.0 | .. | 11.0 |
| Current expenditures | 16.0 | 12.7 | 8.7 | .. | 11.2 |
| New buildings, etc.[1] | 9.0 | 2.6 | 11.0 | .. | 8.2 |
| Transfers | 5.6 | 16.9 | 6.2 | .. | 12.1 |

1. Defence building and construction included.
2. Before public borrowing.
3. For 1967 compared with approved budget 1966.
4. With net supplementary appropriations approved or proposed up to 10th March 1967.

*Source:* Revised National Budget, 1967.

The budget for 1967, however, may be rather more expansionary than its predecessor, even if account is taken of the measures adopted in March. These measures included postponement of public spending and lending, and steps to stimulate personal savings and to discourage certain types of private building activity. Nevertheless, government expenditure on goods and services and transfers is likely to rise faster than in 1966. Some reductions have been made in direct taxation to modify the progressivity of tax rates. The financial surplus is likely to fall.

The long-term programme for 1966-1969 was based on a government budget covering the same period. The budget was prepared within the administration but without committing the Government; it was not presented to Parliament nor published. Nevertheless, such long-term budgeting has proved to be a useful instrument in the preparation of the latest two annual budgets. In a recent White Paper submitted to Parliament, the Government announced that the practice would be continued. A four-year budget for central government expenditure would be prepared in connection with the long-term programme for the total economy. Ultimately it is intended to have this budget adjusted each year to cover a four-year period. Although not representing an authorisation for government bodies to spend (which will still be the subject of annual budget decisions), long-term budgeting should give a better picture of future budgetary implications of policy decisions and bring priority problems into better focus.

### *Monetary Policy*

With the adoption of the new Monetary and Credit Act in 1965, extending the authorities' arsenal of policy weapons, the regulation of the credit expansion by a system of agreements between the authorities and the private credit institutions was discontinued. At that point it therefore became necessary to rely mainly on measures to influence bank

TABLE 12. NET INCREASE IN LOANS

*Kr. million.*

| | 1965 | | 1966 | | 1967 |
|---|---|---|---|---|---|
| | TARGETS | ACTUAL | TARGETS | ACTUAL | TARGETS |
| Commercial banks | 550 | 511 | 600 | 938 | 700 |
| Savings banks | 450 | 494 | 500 | 694 | 550 |
| Life insurance companies | 350 | 379 | 350 | 392 | 300 |
| State banks | 830 | 859 | 950 | 765 | 1,200 |
| Loan associations, etc. | | 378 | | 369 | 400 |
| Bond issues | 2,020 | 256 | 2,000 | 221 | 260 |
| Other sources[1] | | 1,706 | | 1,593 | 1,590 |
| *Total domestic credit supply* | 4,200 | 4,583 | 4,400 | 4,972 | 5,000 |
| Net direct borrowing abroad | 1,575 | 1,776 | 1,300 | 1,265 | 2,100 |
| *of which:* shipping companies | 900 | 712 | 400 | 469 | 1,500 |
| *Total credit supply* | 5,775 | 6,359 | 5,700 | 6,237 | 7,100 |

1. The share market, public funds, etc.

*Sources:* Norwegian submission to the OECD and economic surveys, Central Bureau of Statistics.

liquidity in 1966. Minimum reserve requirements were introduced, and the authorities stated that the aim was to keep the credit expansion within certain specified limits. Since bank advances in the first half of the year rose much faster than assumed, minimum reserve requirements were increased in June; but the simultaneous decision to include State-guaranteed bonds among the liquid assets qualifying as reserves reduced the restrictive effect of this action. As from September 1966 to March 1967 the commercial banks were obliged to keep on a blocked account in the Central Bank an amount corresponding to half their lending in excess of certain limits. The excessive increase in bank lending was partly offset by the fact that the supply of funds in the bond market fell short of the volume envisaged by the authorities. Nevertheless, the total supply of credit rose more than expected.

Although there has been a gradual increase in the rate of interest on long-term credit during the post-war period, the maintenance of stability has been an important policy target. The new Government, which took over towards the end of 1965, has declared its intention of continuing this policy. In addition to controls over the rates of interest charged by State banks and public funds, an important instrument to attain this objective has been the control of bond issues—both the issues themselves and the conditions being subject to approval by the authorities. Bond issues are ordinarily floated through a consortium of banks and insurance companies which guarantee to take over any bonds not placed with the market. But in 1966, with some pressure on bank liquidity and strong demand for credit, the rate of interest stipulated was not high enough to attract to the capital market the volume of funds assumed by the authorities. The banks therefore became more cautious in undertaking to float bond issues. The commercial banks reduced their holdings of fixed interest securities, contrary to the authorities' assumptions. At present, discussions are taking place between the Central Bank and the credit institutions about how to relax the strong institutional ties between short-term and long-term interest rates.

In 1967 the authorities are aiming at a credit supply from domestic sources of about the same order of magnitude as last year, with a considerable increase in lending from the State banks, notably the Housing Bank, offset by a decline in other new credit. Direct lending by life insurance companies is also expected to decline, but these companies have agreed to increase their holdings of bonds. According to an agreement concluded in the spring between the authorities and the commercial banks, the banks will seek to keep their lending activity within a suggested ceiling and, as far as their liquidity position permits, invest in long-term bonds[1]. Nevertheless, bank lending in the first months of the year

1. The question of the use of credit ceilings to influence bank lending is discussed further in Part III below.

exceeded the suggested ceiling. The Government proposes to change the Monetary and Credit Act so as to require the banks to observe minimum reserve ratios on a continuing basis, and not only on the last day of the month. Compared with recent practice this would, if adopted, represent a tightening of existing reserve requirements.

In order to avoid that internal credit policy measures taken to limit the credit supply are counteracted by borrowing abroad, the Government has found it necessary to introduce a ceiling on such borrowing (including foreign direct investment in Norway but excluding bank transactions). Shipping credits and short- and medium-term trade credits are, however, outside the system of government regulation. In 1966 foreign borrowing was in line with the authorities' target. For 1967 other types of borrowing than shipping credits are supposed to decline. Demand for credit has been very strong, and the 1967 ceiling will be reached with the transactions already known. The banks are supposed not to increase their foreign borrowing, and in the first months of the year this limitation was observed.

### *Building Policy*

Controls have for long played an important role in policies to prevent excessive pressures in building and construction. In 1966 industrial building activity in areas with no pronounced labour shortage and school buildings was exempted from control. A further step was taken as from the beginning of the present year, when all building activity in such areas was liberalised. At present, controls only apply to hospitals, commercial premises, warehouses, etc., industrial premises and hotels in labour shortage areas. The quota for the controlled building sector was slightly increased in 1966. In the current year, however, the authorities aim at 10 per cent reduction in order to leave room for a strong expansion of housebuilding. A 20 per cent increase in the housing starts is envisaged, three-quarters of which are to be financed largely by State bank credit.

## III. DEMAND MANAGEMENT POLICY IN RECENT YEARS

Underlying trends in the economy have, generally, been satisfactory in the 1960's. The rate of expansion has been good, with real GNP on average rising by about 5 per cent a year, faster than in most other OECD countries. Progress has been made towards establishment of an incomes policy. Although costs and prices have risen, in some years substantially, on average the rise of unit labour costs in manufacturing

or in the economy as a whole has been roughly in line with trends in most important competing countries[1]. In the field of shorter-term demand management, however, economic policy has been marked by a certain lack of flexibility. Fluctuations in demand have not been very substantial; the trend of exports and private investment—the most volatile demand elements—have been persistently upwards. But the increase in exports, and thus the strength of the expansionary impulse received from abroad, has varied from year to year, calling for changes in contra-cyclical policy.

TABLE 13. TRENDS IN EXPORTS AND DOMESTIC DEMAND

| | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|
| *Increase in per cent of previous year's GNP (current prices):* | | | | | | | |
| Exports of goods and services, (excl. ships) value | 2.4 | 1.6 | 1.8 | 3.0 | 5.0 | 3.0 | 3.1 |
| Export of goods (excl. ships): | | | | | | | |
| value | 1.2 | 0.7 | 1.0 | 1.4 | 3.0 | 1.7 | 1.7 |
| volume | 1.2 | 0.8 | 1.1 | 1.6 | 2.5 | 0.9 | 1.5 |
| *Increase in per cent of previous year's GNP (1961 prices):* | | | | | | | |
| Domestic final demand[1] | 6.1 | 5.4 | 4.3 | 4.0 | 4.1 | 3.7 | 4.6 |
| Change in stocks | 2.0 | 0.2 | —1.2 | —0.4 | 0.5 | 1.2 | 0.1 |
| Total domestic demand[1] | 8.1 | 5.6 | 3.1 | 3.6 | 4.6 | 4.9 | 5.1 |
| Gross national product | 5.8 | 6.2 | 3.3 | 5.2 | 5.5 | 5.3 | 4.5 |

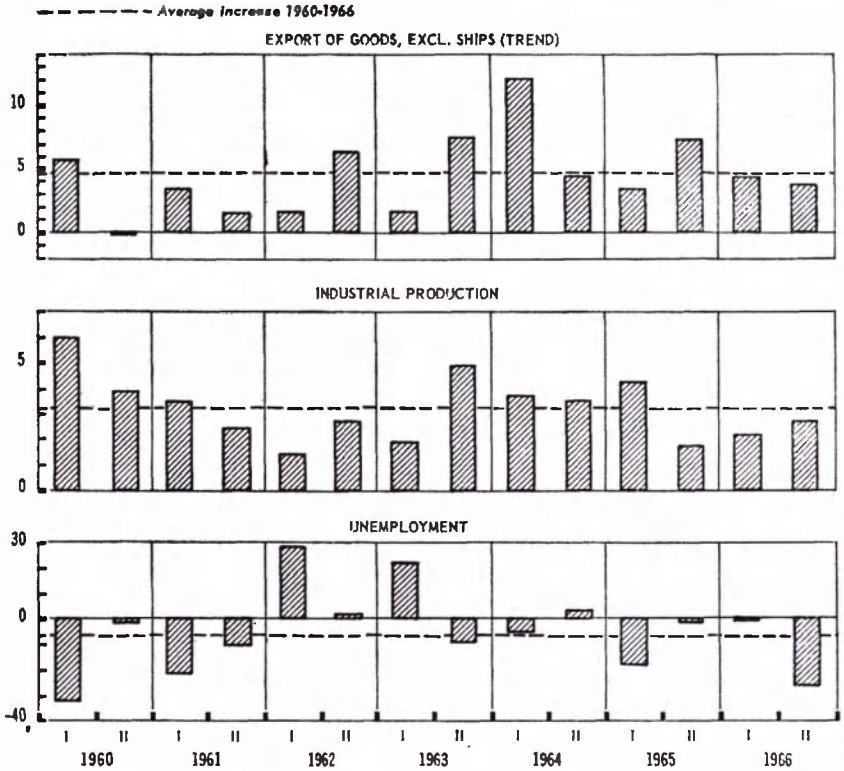
1. Excluding investment in ships.
*Source:* National budgets and Monthly Bulletin of Statistics, Central Bureau of Statistics.

Table 13 shows that, in the 1960's, the annual increase in exports of goods and services (excluding ships) in current prices varied between 1.6 and 5.0 per cent of GNP. Relatively low in 1961 and 1962, the increase accelerated strongly in the two following years, notably in 1964; in 1965 and 1966 the increase was still significant, but smaller than in 1964. In most years exports of goods were responsible for the greater part of the change in total exports, with the increase in services varying less. In the first few years of the period, exports of goods rose faster in volume than in value, with prices falling. After 1963, these movements were reversed, due to a marked increase in export prices.

1. Policies and developments in the fields of growth, prices and incomes were discussed in last year's OECD Economic Survey of Norway.

*Diagram 3.* **BUSINESS CYCLE INDICATORS**

HALF YEARS, PERCENTAGE INCREASE OVER PREVIOUS HALF YEAR, SEASONALLY ADJUSTED




*Source:* OECD, Main Economic Indicators and OECD Secretariat.

Annual data sometimes give a misleading picture of cyclical movements since they conceal changes in trends in the course of the year. On the other hand, monthly or quarterly figures are more influenced by short-term irregularities, and seasonal adjustments are sometimes difficult. Smoothed data suggest, however, that the cyclical impulse weakened in the course of 1961 and remained relatively weak in 1962 and the first part of 1963. But since the pressure on resources remained strong during much of this period some breathing space after the strong expansion from 1958 may have been appropriate. The rise in exports accelerated in the latter part of 1963 and in 1964, and since then there has been need to restrict the expansion of demand.

The increase in the volume of domestic demand has shown little tendency to move in a contra-cyclical manner; on the whole it has tended to vary in the same direction as the increase in exports. An inverse variation is not easy to achieve. The rise in exports has a direct impact on incomes which, in turn, influence domestic demand. And foreign demand is a major determinant of the business climate, affecting the propensity to spend of both investors and consumers. But it is clear that the efforts made to influence demand in the short run have generally not been very strong. A number of measures have been taken or announced, but the main indicators of demand management policy—the government budget, monetary policy, and building controls—have shown little contra-cyclical variation.

TABLE 14. INDICATORS OF POLICY CHANGES

| | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|
| | *Kr. Million* | | | | | | |
| *Central Government Budget:* | | | | | | | |
| Gross fixed asset formation | 1,195 | 1,225 | 1,470 | 1,502 | 1,637 | 1,679 | 1,864 |
| Subsidies | 713 | 804 | 796 | 975 | 855 | 1,080 | 1,085 |
| Financial savings[1] | 485 | 541 | 381 | 239 | 312 | 202 | 493 |
| *Monetary Policy:* | | | | | | | |
| State banks' approval of loans | 904 | 940 | 957 | 1,151 | 1,259 | 1,315 | 1,745 |
| Increase in overall liquidity[2] | 145 | 206 | 188 | 286 | 328 | 523 | 398 |
| *of which:* due to domestic factors[3] | 1 | 96 | 109 | 199 | 153 | —231 | —223 |
| Increase in commercial bank liquidity | 14 | — 28 | — 52 | 59 | 107 | 111 | 14 |
| | *Per cent* | | | | | | |
| Effective yield on 5 per cent government bonds | .. | 4.93 | 4.95 | 4.96 | 4.94 | 4.99 | 5.00 |
| | *1,000 m²* | | | | | | |
| *Building starts* (total) | .. | 4,422 | 4,510 | 4,201 | 4,706 | 4,787 | 5,127 |

1. Receipts less current and fixed investment expenditure.
2. Increase in liquidity resulting from transactions of Government and Central Bank.
3. i.e. excluding Central Bank's net purchases of foreign exchange from banks and private sector.

*Sources:* National budgets and Monthly Bulletin of Statistics, Central Bureau of Statistics.

As in other countries, prompt adjustment of fiscal policy to the needs of the economy involves a number of practical difficulties. Many items in the budget, including most types of current expenditure, cannot easily be changed quickly, partly because of legal commitments. The

movements of the items most relevant from the point of view of anti-cyclical policy are summarised in Table 14. Efforts have at times been made to restrict the increase in government fixed asset formation to ease the pressure on resources. In 1961, for example, when the pressure on resources was strong, government fixed investment rose little in currrent prices, and was no higher in volume than a year earlier, exerting a stabilising influence on the conjuncture. The strong increase in this type of expenditure in 1962, when private demand was relatively weak, was also well adapted to the needs. But government investment continued to grow in the following years when demand pressures were strong, and the increase was particularly marked in 1964 when there was a sharp increase in other types of demand.

Subsidies constitute an important item in the government budget. In Norway, changes in subsidies have mainly been used as an instrument of incomes and prices policy, and have been less influenced by considerations of demand management policy. Subsidy policy was discussed in the 1965 OECD Economic Survey of Norway, which concluded that temporary changes in subsidies might constitute a useful instrument of incomes policy when a large proportion of wages and other incomes are regulated by the cost-of-living index, but that the demand effects of such changes might run contrary to other aims of economic policy.

Taxation policy has not been much used as an instrument of demand management policy. The retail turnover tax was, however, increased in 1964 to restrict the growth of demand, and certain other indirect taxes were raised to the same end in 1966. Changes in direct taxes have largely been confined to a gradual relaxation of the progressivity of tax rates as prices and incomes have risen.

Financial savings provide a broad measure of the income effects of the budget. The movement of the financial surplus has on the whole been contra-cyclical, except the decline in 1965 which was hardly desirable from a stabilisation point of view. But the tendency in this direction has not been very marked—as, indeed, is to be expected given the rather small degree to which budget policy has been used as an anti-cyclical instrument in recent years.

So far as monetary policy is concerned, the State banks represent an important instrument for influencing both the volume and composition of credit. In addition to the postal savings bank and the post giro, there are six State banks; they provide long-term finance mainly for residential construction, agriculture, fisheries, industrial and municipal investment, and education. These banks are responsible for about one-third of the total supply of bank credit. Their lending activities are regulated through annual commitment budgets fixed each year by the authorities. Originally the State banks were supposed to finance their operations by the issue of their own bonds on the capital market. But

since the early 1950's the government has financed the greater part of their lending activities from its own financial savings, and by borrowing from the capital market, private credit institutions and the postal savings banks. Given the close control which the authorities exercise over their activities, efforts have of course been made to use State bank credit as an instrument of short-term demand management, but other aims have been more predominant than that of contra-cyclical considerations. The increase in approval of loans in 1963 would seem to have been in harmony with the needs of the economy, although the timing would have been better if it had come a year earlier. The continued strong rise in subsequent years, particularly in 1966, contributed to the strong increase in aggregate demand.

During most of the period the main weapon used to influence the credit expansion of commercial and savings banks and other credit institutions has been a system of credit agreements between these institutions and the authorities, aimed at regulating their lending activities. (The most recent use of credit agreements and other monetary instruments is outlined in the above section on monetary policy). The use of credit agreements has certain advantages. They aim directly at regulating the credit expansion and not—as most other instruments of credit policy—indirectly via the liquidity base of the banks. In principle, this should enable greater precision in the operation of credit policy. The agreements can be operated flexibly and selectively. They encourage close contacts between the authorities and the banks. Nonetheless, the credit expansion has tended to exceed the limits stipulated by the agreements except in 1963, when credit demand was not particularly strong. In most years, given the posture of other demand management policies, the credit expansion has been stronger than desirable from the point of view of stabilisation policy, contributing to a very strong increase in demand.

There are various reasons why the agreements have not always been observed. Up to 1965, lending in foreign currencies based on bank borrowing abroad was a source of difficulty because it was not covered by the credit ceiling. But a main pre-requisite for getting the agreements observed may be that they should be supported by measures influencing bank liquidity. If the margin between the permissible increase in bank credit and the lending potential of the banks becomes too wide, it may be difficult to keep the expansion within desired limits. Credit agreements may therefore be a complement to, rather than a substitute for, policies operating on bank liquidity. This has probably been a difficulty in Norway. In every year the effect of Government and Central Bank transactions taken together has been to increase liquidity in general. This in itself is normal, but the increase has shown little tendency to vary according to the needs of stabilisation policy (see

Table 14); it was particularly strong in the three years 1964 to 1966 when demand pressures were most pronounced, and bank liquidity also rose in these years. The table shows, however, that excluding the effect of foreign exchange transactions, which are only to a limited extent controllable by the authorities, the movement of liquidity has been better adapted to the needs of the economy.

A major constraint on the extent to which the authorities have restricted the growth of liquidity has been the objective of keeping long-term interest rates stable and relatively low. Table 14 shows that the bond rate in fact has varied very little in recent years remaining at about 5 per cent. One argument for this has been that a rise in interest rates would have an adverse impact on certain types of investment which it has been an important objective to stimulate, particularly housebuilding and certain other types of long-term investment such as hydro-electric power plants. Doubts have also been expressed whether demand would in fact be much influenced by tolerable changes in interest rates. Given the links that exist between the money and capital markets, the interest rate objective has rendered difficult the active use of liquidity policy, and thereby an efficient control with the supply of credit and credit-financed demand.

In the 1950's, practically all building activity was covered by direct controls. Since then a gradual relaxation has taken place. (The areas at present subject to direct controls are recorded in the section on

TABLE 15. IMPORTS, EXPORTS AND TERMS OF TRADE

| | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|
| | *Percentage change from previous year* | | | | | | |
| *Export of goods* (excl. ships) ... | 7.2 | 4.3 | 6.2 | 8.6 | 18.9 | 9.7 | 9.8 |
| Change in export prices ..... | 0.0 | — 1.0 | — 1.0 | — 1.0 | 3.0 | 4.0 | 1.0 |
| Change in export volume ..... | 7.2 | 5.4 | 7.3 | 9.7 | 15.4 | 5.5 | 8.7 |
| *Import of goods* (excl. ships) ... | 21.6 | 5.6 | 7.6 | 6.3 | 13.3 | 8.6 | 11.7 |
| Change in import prices ..... | 1.0 | — 1.0 | — 1.0 | 1.0 | 1.0 | 0.0 | 1.0 |
| Change in import volume ..... | 20.4 | 6.7 | 8.7 | 5.2 | 12.2 | 8.6 | 10.6 |
| *Terms of trade*[1] ..... | — 1.0 | 0.0 | 0.0 | — 2.0 | 2.0 | 4.0 | 0.0 |
| | *Kr. million* | | | | | | |
| *Increase in trade deficit* ..... | 1,194 | 239 | 328 | 71 | 73 | 222 | 636 |

1. Export price index divided by import price index.
*Source:* National budgets.

building policy). Housebuilding is influenced from the financial side, notably through the State Housing Bank. The movement of total building starts appears from Table 14. There was an increase in 1962 when some stimulus was needed, followed by a decline in 1963 when exports picked up. But the sharp increase in starts in 1964 must have contributed considerably to the strong rise in demand in that year. And the continued high level of starts in 1965 and sharp rise in 1966 served to increase the pressure on resources.

This analysis suggests that a more active contra-cyclical policy would at certain times have been desirable. The need for greater stimulus has not been very marked. The tendencies towards a slackening of the expansion in the first years of the 1960's were not strong and some contra-cyclical policy effects were achieved. But there was clearly need for a more restrictive demand management policy in the 1964-1966 period when exports were rising sharply and pressure of demand was too strong. It is reasonable to assume that demand pressure has had an impact on price and wage developments, although it is difficult to assess how strong this impact has been. The main adverse effect may have been on imports and the foreign balance. In a period when not only the volume of exports is expanding rapidly but export prices are rising and the terms of trade improving substantially, it would seem reasonable to expect an improvement of the trade balance. This has not happened; on the contrary, the trade deficit has risen throughout, although at a slower pace when the export rise was most pronounced. Aggregate demand was allowed to rise too fast, with a spillover into imports which more than offset the effect on the trade balance of the rise in exports.

## IV. CONCLUSIONS

At the beginning of the present year the pressure of demand was too strong for confort, and in March measures were taken to reduce it. But the measures were not very far-reaching. There are indications that certain types of demand are weakening, mainly exports and business fixed investment, but other types of demand are likely to continue to rise. It is therefore to be expected that demand pressures will remain strong, and it cannot be excluded that further restrictive measures will be called for. Influenced notably by the marked increase in housing planned for 1967, pressures may be felt particularly in building and construction. Further action may therefore be required to achieve a better balance between supply and demand in this sector. Prospective demand trends also point to the need for a cautious approach in the 1968 budget.

Cost/price trends and the balance of payments position underline the need for a cautious demand management policy. On average in recent years unit labour costs in Norway have not risen more than in competing countries, but there is a certain danger that the situation will change. The rise in costs has slowed down in a number of foreign countries, but seems likely to continue unabated—and may accelerate—in Norway. Wagedrift in building and construction is increasing faster than earlier, entailing a widening of wage differentials which may increase pressures for higher wages in other sectors. The continued increase in the cost-of-living index has released automatic income increases. The practice whereby agriculture is granted larger percentage income increases than other sectors may lead to a more rapid increase in consumer prices than would otherwise have been the case because of the heavy weight of food prices in the cost-of-living index.

The sharp increase in the current external deficit likely in 1967 is mainly due to higher imports of ships to a large extent financed by shipping credits abroad. But the foreign balance excluding ship imports has in recent months also been deteriorating, partly because of the slow growth of shipping earnings and partly because of the further increase in the trade deficit. It is important that the deficit should not be inflated by an inadequate demand management policy. The continued buoyant import activity in the first months of the year suggests that the current external deficit may be higher than expected earlier, and is a reminder that developments will have to be closely watched in the coming months.

Developments over the last few years suggest that there is need for greater flexibility in demand management policy. In particular, there has been a growing tendency towards an excessive increase in demand. In fiscal policy the need for higher expenditure on public investment and services seems to have been emphasized more than demand management considerations. And the expansion of credit has not been kept fully under control. The new Monetary and Credit Act provides the Government with a number of instruments for influencing the availability of credit, and it may prove necessary to use existing instruments more actively than in the past.

*Appendix*

## ECONOMIC POLICY MEASURES

| | |
|---|---|
| *January 1960* ..... | Re-introduction of reimbursement of customs duties paid on certain types of imported machinery. |
| *Autumn 1960* ..... | " No change " budget for 1961. |
| *February 1961* ..... | Postponement of certain government building and construction projects.<br>Postponement of loans granted by the State banks.<br>Tightening of hire-purchase conditions. |
| *July 1961* ..... | Agreement with commercial and savings banks on restraint of lending activity. |
| *Autumn 1961* ..... | Budget for 1962: less restrictive than predecessor.<br>Introduction of tax-free funds for investment purposes. |
| *Autumn 1962* ..... | Budget for 1963: somewhat more expansive impact, with reduction of financial savings.<br>Credit agreement allows for about the same expansion in 1963 as in 1962. Quotas on building activity for 1963 unchanged from 1962, but increased by about 2 per cent during the year. |
| *Autumn 1963* ..... | Budget for 1964: on the whole more expansive than 1963.<br>Credit agreements for 1964: credit supply from domestic sources somewhat less than in 1963. Agreement on lending from foreign sources. Increase in building quotas of about 8 per cent. |
| *Autumn 1964* ..... | Budget for 1965: increase in expenditure of 16 per cent. |

| | |
|---|---|
| *Autumn 1964* (*cont.*) ..... | Credit policy somewhat tightened. Ceilings for increase of loans for private financial institutions somewhat below actual increase in 1964.<br>Quotas on building activity for 1965 unchanged from 1964, but increased by about 4 per cent during the year. |
| *December 1964* ..... | Turnover tax raised from 10 to 12 per cent from 1st December.<br>Increase in subsidies on food to offset the effect on consumer prices of the increased turnover tax. |
| *Autumn 1965* ..... | Budget for 1966: increase in expenditure smaller than in 1965 (6.6 per cent).<br>Increase in financial savings.<br>Quotas for private direct borrowing abroad.<br>State banks allowed to increase loans by up to 39 per cent over 1965, partly due to change in the system of financing housebuilding.<br>Building quotas increased slightly and school buildings exempted from control. |
| *January 1966* ..... | Introduction of liquidity reserve requirements for commercial and savings banks. |
| *June 1966* ..... | Tightening of liquidity requirements. |
| *July 1966* ..... | Increase of indirect taxes on beverages, tobacco and petrol. Some cut in budget expenditure. |
| *September 1966* ..... | Further tightening of credit policy by the introduction of supplementary liquidity requirements based on increase in lending. |
| *Autumn 1966* ..... | Budget for 1967: more expansionary than its predecessor. |
| *March 1967* ..... | *a*) Postponement of certain public building starts.<br>*b*) Restriction of central government transfers and loans to municipal school buildings.<br>*c*) Replacement of the exemption from the general sales tax for certain building projects by a standard refund system.<br>*d*) Reduction of building quotas for districts where still applicable. |

| | |
|---|---|
| *March 1967* ..... *(cont.)* | *e)* State banks requested to restrict new loans during the first half of 1967 to 50 per cent of their total commitment budgets.<br>*f)* Rules governing tax-free deposits for investment funds changed to obtain some postponement of fixed investment.<br>*g)* Introduction of tax-exemption within certain limits for increases in bank deposits.<br>*h)* Tightening of hire-purchase conditions. |
| *March 1967* ..... | Agreement with commercial banks on restraining lending activity. The suplementary liquidity requirements (see above) abolished. |

# *STATISTICAL ANNEX*

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## TABLE I. SUPPLY AND USE OF RESOURCES

| CURRENT PRICES | N.KR. MILLION | | | | | | | | | | | PER CENT OF GNP | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 1956 | 1957 | 1958 | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 | 1956 | 1966 |
| Gross national product | 27,090 | 28,788 | 28,658 | 30,417 | 32,340 | 35,239 | 38,179 | 41,176 | 45,512 | 50,325 | 54,426 | 100.0 | 100.0 |
| Imports of goods and services | 12,028 | 12,993 | 12,996 | 13,301 | 14,576 | 15,817 | 16,357 | 17,811 | 19,461 | 21,547 | 23,684 | 44.4 | 43.5 |
| *Total supply* | 39,118 | 41,781 | 41,654 | 43,718 | 46,916 | 51,056 | 54,536 | 58,987 | 64,973 | 71,872 | 78,110 | 144.4 | 143.5 |
| Exports of goods and services | 12,101 | 13,123 | 11,871 | 12,746 | 13,673 | 14,390 | 15,009 | 16,448 | 18,873 | 20,719 | 22,471 | 44.7 | 41.3 |
| *Total domestic demand* | 27,017 | 28,658 | 29,783 | 30,972 | 33,243 | 36,666 | 39,527 | 42,539 | 46,100 | 51,153 | 55,639 | 99.7 | 102.2 |
| *of which:* | | | | | | | | | | | | | |
| Public consumption | 3,425 | 3,762 | 3,990 | 4,363 | 4,588 | 5,014 | 5,807 | 6,394 | 7,124 | 8,225 | 9,099 | 12.6 | 16.7 |
| Defence | 915 | 985 | 967 | 1,031 | 1,024 | 1,104 | 1,285 | 1,378 | 1,483 | 1,816 | 1,886 | 3.4 | 3.5 |
| Civil | 2,510 | 2,777 | 3,023 | 3,332 | 3,564 | 3,910 | 4,522 | 5,016 | 5,641 | 6,409 | 7,213 | 9.2 | 13.2 |
| Private consumption | 15,360 | 16,212 | 16,768 | 17,787 | 18,952 | 20,561 | 22,179 | 23,618 | 25,771 | 27,575 | 29,730 | 56.7 | 54.6 |
| Gross domestic fixed asset formation | 7,610 | 8,387 | 9,298 | 9,039 | 9,298 | 10,539 | 11,433 | 12,524 | 13,009 | 14,645 | 15,922 | 28.1 | 29.3 |
| Government | 863 | 889 | 1,014 | 1,101 | 1,163 | 1,192 | 1,415 | 1,706 | 1,960 | 2,081 | 2,238 | 3.2 | 4.1 |
| Enterprises | 6,747 | 7,498 | 8,284 | 7,938 | 8,135 | 9,347 | 10,018 | 10,818 | 11,049 | 12,564 | 13,684 | 24.9 | 25.2 |
| Change in stocks | 622 | 297 | — 273 | — 217 | 405 | 552 | 108 | 3 | 196 | 708 | 888 | 2.3 | 1.6 |

*Source:* Norwegian submission to the OECD.

## TABLE II. SUPPLY AND USE OF RESOURCES

| 1958 PRICES | N.KR. MILLION | | | | | | | | | | | PER CENT OF GNP | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 1956 | 1957 | 1958 | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 | 1956 | 1966 |
| Gross national product | 28,107 | 28,856 | 28,658 | 29,710 | 31,374 | 33,394 | 34,425 | 36,206 | 38,238 | 40,266 | 42,048 | 100.0 | 100.0 |
| Imports of goods and services | 12,309 | 12,525 | 12,996 | 13,578 | 15,057 | 16,562 | 17,467 | 19,086 | 20,602 | 22,563 | 24,396 | 43.8 | 58.0 |
| *Total supply* | 40,416 | 41,381 | 41,654 | 43,288 | 46,431 | 49,956 | 51,892 | 55,292 | 58,840 | 62,829 | 66,444 | 143.8 | 158.0 |
| Exports of goods and services | 11,131 | 11,645 | 11,871 | 13,001 | 14,203 | 15,228 | 16,183 | 17,828 | 19,723 | 21,150 | 22,727 | 39.6 | 54.0 |
| *Total domestic demand* | 29,285 | 29,736 | 29,783 | 30,287 | 32,228 | 34,728 | 35,709 | 37,464 | 39,117 | 41,679 | 43,717 | 104.2 | 104.0 |
| *of which:* | | | | | | | | | | | | | |
| Public consumption | 3,709 | 3,851 | 3,990 | 4,201 | 4,324 | 4,600 | 4,949 | 5,194 | 5,504 | 6,057 | 6,327 | 13.2 | 15.0 |
| Defence | 960 | 995 | 967 | 1,018 | 958 | 1,004 | 1,075 | 1,110 | 1,138 | 1,363 | 1,349 | 3.4 | 3.2 |
| Civil | 2,749 | 2,856 | 3,023 | 3,183 | 3,366 | 3,596 | 3,874 | 4,084 | 4,366 | 4,694 | 4,978 | 9.8 | 11.8 |
| Private consumption | 16,342 | 16,713 | 16,768 | 17,428 | 18,495 | 19,619 | 20,233 | 20,983 | 21,754 | 22,373 | 23,394 | 58.1 | 55.7 |
| Gross domestic fixed asset formation | 8,598 | 8,911 | 9,298 | 8,874 | 8,960 | 9,973 | 10,435 | 11,338 | 11,694 | 12,553 | 13,201 | 30.6 | 31.4 |
| Government | 951 | 907 | 1,014 | 1,105 | 1,139 | 1,131 | 1,287 | 1,503 | 1,681 | 1,680 | 1,718 | 3.4 | 4.1 |
| Enterprises | 7,647 | 8,004 | 8,284 | 7,769 | 7,821 | 8,842 | 9,148 | 9,835 | 10,013 | 10,873 | 11,483 | 27.2 | 27.3 |
| Change in stocks | 636 | 261 | — 273 | — 216 | 449 | 536 | 92 | — 51 | 165 | 696 | 795 | 2.3 | 1.9 |

*Source:* Norwegian submission to the OECD.

## TABLE III. GROSS NATIONAL PRODUCT BY INDUSTRIAL ORIGIN[1]

*N.Kr. million.*

| CURRENT PRICES | 1956 | 1957 | 1958 | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Agriculture | 1,692 | 1,605 | 1,590 | 1,782 | 1,696 | 1,787 | 1,675 | 1,735 | 1,818 | 1,967 | 2,125 |
| Forestry, hunting, etc. | 945 | 1,003 | 907 | 792 | 806 | 887 | 876 | 817 | 913 | 1,015 | 864 |
| Fishing and whaling | 762 | 704 | 603 | 681 | 646 | 654 | 600 | 612 | 761 | 1,061 | 1,197 |
| Mining and quarrying | 351 | 330 | 305 | 279 | 300 | 302 | 333 | 376 | 395 | 444 | 477 |
| Manufacturing | 6,547 | 6,804 | 6,714 | 7,151 | 7,807 | 8,521 | 9,123 | 9,886 | 10,910 | 12,102 | 12,996 |
| Electricity, gas and water works | 532 | 629 | 717 | 767 | 866 | 912 | 1,056 | 1,063 | 1,184 | 1,348 | 1 368 |
| Construction | 1,720 | 1,819 | 1,907 | 2,016 | 2,095 | 2,299 | 2,645 | 2,955 | 3,037 | 3,385 | 3,761 |
| Water transportation | 3,471 | 3,852 | 3,129 | 3,157 | 3,292 | 3,513 | 3,702 | 4,052 | 4,566 | 4,950 | 5,115 |
| Other transportation and communication | 1,471 | 1,557 | 1,687 | 1,805 | 1,949 | 2,167 | 2,369 | 2,524 | 2,740 | 2,984 | 3,286 |
| Wholesale and retail trade | 2,737 | 3,050 | 3,108 | 3,239 | 3,664 | 4,013 | 4,350 | 4,963 | 5,336 | 5,828 | 6,391 |
| Banking, insurance, real estate | 560 | 622 | 633 | 706 | 763 | 881 | 897 | 952 | 1,077 | 1,190 | 1,282 |
| Ownership of dwellings | 688 | 789 | 865 | 922 | 995 | 1,073 | 1,342 | 1,435 | 1,515 | 1,653 | 1,808 |
| Public administration and defence | 1,039 | 1,125 | 1,195 | 1,294 | 1,362 | 1,426 | 1,603 | 1,760 | 1,953 | 2,155 | 2,364 |
| Health and educational services | 1,068 | 1,199 | 1,280 | 1,429 | 1,534 | 1,777 | 2,098 | 2,359 | 2,651 | 3,059 | 3,466 |
| Miscellaneous services | 1,209 | 1,296 | 1,399 | 1,529 | 1,627 | 1,748 | 1,922 | 2,105 | 2,381 | 2,622 | 2,887 |
| *Total, gross domestic product at factor cost* | 24,792 | 26,384 | 26,039 | 27,549 | 29,402 | 31,960 | 34,591 | 37,594 | 41,237 | 45,763 | 49,387 |
| Net payments abroad | — 216 | — 230 | — 266 | — 284 | — 336 | — 393 | — 454 | — 561 | — 629 | — 698 | — 770 |
| *Gross national product at factor cost* | 24,576 | 26,154 | 25,773 | 27,265 | 29,066 | 31,567 | 34,137 | 37,033 | 40,608 | 45,065 | 48,617 |

1. According to OECD definitions.

*Source:* Norwegian submission to the OECD.

TABLE IV. GROSS NATIONAL PRODUCT BY INDUSTRIAL ORIGIN[1]

*N.Kr. million.*

| 1958 PRICES | 1956 | 1957 | 1958 | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Agriculture | 1,675 | 1,645 | 1,590 | 1,623 | 1,591 | 1,659 | 1,493 | 1,572 | 1,505 | 1,411 | 1,497 |
| Forestry, hunting, etc. | 983 | 966 | 907 | 812 | 821 | 828 | 811 | 765 | 826 | 883 | 675 |
| Fishing and whaling | 798 | 698 | 603 | 648 | 595 | 568 | 544 | 498 | 585 | 750 | 806 |
| Mining and quarrying | 329 | 303 | 305 | 310 | 330 | 343 | 375 | 410 | 435 | 471 | 477 |
| Manufacturing | 6,648 | 6.774 | 6,714 | 7,009 | 7,633 | 8,056 | 8,330 | 8,852 | 9,557 | 10,095 | 10,703 |
| Electricity, gas and water works | 570 | 654 | 717 | 722 | 792 | 824 | 885 | 934 | 998 | 1,107 | 1,095 |
| Construction | 1,828 | 1,943 | 1,907 | 1,891 | 1,896 | 1,915 | 2,007 | 2,116 | 2,203 | 2,254 | 2,361 |
| Water transportation | 2,822 | 3,067 | 3,129 | 3,303 | 3,640 | 4,024 | 4,334 | 4,740 | 5,003 | 5,463 | 5,787 |
| Other transportation and communication | 1,636 | 1,656 | 1,687 | 1,782 | 1,875 | 2,023 | 2,096 | 2,161 | 2,347 | 2,399 | 2,555 |
| Wholesale and retail trade | 3,158 | 3,248 | 3,108 | 3,268 | 3,527 | 3,966 | 4,050 | 4,264 | 4,413 | 4,525 | 4,754 |
| Banking, insurance, real estate | 603 | 631 | 633 | 669 | 712 | 764 | 766 | 811 | 824 | 870 | 902 |
| Ownership of dwellings | 822 | 844 | 865 | 883 | 903 | 919 | 964 | 1,006 | 1,043 | 1,099 | 1,161 |
| Public administration and defence | 1,130 | 1,169 | 1,195 | 1,220 | 1.245 | 1,279 | 1,294 | 1,340 | 1,403 | 1,449 | 1,479 |
| Health and educational services | 1,162 | 1,210 | 1,280 | 1,375 | 1,428 | 1,565 | 1,697 | 1,776 | 1,868 | 2,012 | 2,112 |
| Miscellaneous services | 1,342 | 1,373 | 1,399 | 1,471 | 1,527 | 1,607 | 1,635 | 1,661 | 1,750 | 1,797 | 1,846 |
| *Total, gross domestic product at factor cost* | 25,506 | 26,181 | 26,039 | 26,986 | 28,515 | 30,340 | 31,281 | 32,906 | 34,760 | 36,585 | 38,210 |
| Net payments abroad | — 226 | — 230 | — 266 | — 278 | — 322 | — 369 | — 399 | — 457 | — 503 | — 534 | — 567 |
| *Gross national product at factor cost* | 25,280 | 25,951 | 25,773 | 26,708 | 28,193 | 29,971 | 30,882 | 32,449 | 34,257 | 36,051 | 37,643 |

1. According to OECD definitions.

*Source:* Norwegian submission to the OECD.

## TABLE V. GDP AND EMPLOYMENT BY SECTORS

*Percentage distribution.*

| | GROSS DOMESTIC PRODUCT[1] | | | EMPLOYMENT[2] | | |
|---|---|---|---|---|---|---|
| | 1954 | 1960 | 1966 | 1954 | 1960 | 1966 |
| Agriculture | 6.4 | 5.0 | 3.8 | 20.4 | 17.5 | 14.7 |
| Forestry | 3.1 | 2.4 | 1.6 | 2.1 | 1.7 | 1.2 |
| Fishing and whaling | 3.1 | 2.2 | 2.1 | 3.7 | 3.1 | 2.4 |
| Manufacturing and mining | 26.6 | 25.1 | 24.8 | 24.4 | 24.5 | 25.9 |
| Building and construction | 6.9 | 7.0 | 7.6 | 8.3 | 7.9 | 7.9 |
| Electricity and water supply | 2.1 | 2.8 | 2.7 | 0.9 | 0.9 | 0.9 |
| Retail and wholesale trade | 17.9 | 17.5 | 18.9 | 10.0 | 11.4 | 12.4 |
| Maritime transport | 10.1 | 11.4 | 10.2 | 4.0 | 5.2 | 4.8 |
| Other transport and communication | 5.5 | 5.9 | 6.0 | 5.9 | 6.1 | 5.9 |
| Miscellaneous activities | 18.3 | 20.7 | 22.3 | 20.3 | 21.7 | 23.9 |
| Total | 100.0 | 100.0 | 100.0 | 100.0 | 100.0 | 100.0 |

1. National definitions, current prices.
2. Man-years.

*Sources:* National Accounts.

## TABLE VI. GROSS FIXED ASSET FORMATION[1]

*N.Kr. million.*

| 1958 PRICES | 1956 | 1957 | 1958 | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| A. PRODUCT CLASSIFICATION: | | | | | | | | | | | |
| Land | 76 | 84 | 93 | 113 | 93 | 76 | 46 | 37 | 46 | 70 | 101 |
| Dwellings | 1,146 | 1,372 | 1,273 | 1,281 | 1,286 | 1,409 | 1,629 | 1,681 | 1,760 | 1,864 | 1,972 |
| Other buildings | 1,471 | 1,577 | 1,613 | 1,675 | 1,711 | 1,850 | 1,906 | 2,006 | 2,124 | 2,185 | 2,336 |
| Other construction and works | 1,128 | 1,078 | 1,115 | 1,129 | 1,210 | 1,196 | 1,514 | 1,725 | 1,824 | 1,921 | 2,018 |
| Transport equipment | 3,076 | 3,026 | 3,495 | 2,930 | 2,483 | 3,010 | 2,775 | 3,262 | 3,050 | 3,598 | 3,451 |
| Other equipment | 1,701 | 1,774 | 1,709 | 1,746 | 2,177 | 2,432 | 2,565 | 2,627 | 2,890 | 2,915 | 3,323 |
| Total | 8,598 | 8,911 | 9,298 | 8,874 | 8,960 | 9,973 | 10,435 | 11,338 | 11,694 | 12,553 | 13,201 |
| B. BY INDUSTRY: | | | | | | | | | | | |
| Agriculture, forestry, fishing and whaling | 825 | 841 | 834 | 845 | 849 | 741 | 746 | 749 | 775 | 778 | 836 |
| Mining and quarrying | 55 | 76 | 63 | 107 | 118 | 78 | 68 | 81 | 113 | 123 | 129 |
| Manufacturing | 1,182 | 1,277 | 1,207 | 1,090 | 1,400 | 1,673 | 1,763 | 1,690 | 1,727 | 1,855 | 2,215 |
| Construction | 135 | 150 | 136 | 168 | 201 | 216 | 220 | 191 | 260 | 278 | 336 |
| Electricity, gas and waterworks | 752 | 803 | 784 | 809 | 824 | 894 | 1,072 | 1,191 | 1,134 | 1,088 | 1,089 |
| Transportation and communication | 3,368 | 3,210 | 3,775 | 3,263 | 2,843 | 3,397 | 3,431 | 4,096 | 4,145 | 4,816 | 4,699 |
| Dwellings | 1,146 | 1,372 | 1,273 | 1,281 | 1,286 | 1,409 | 1,457 | 1,472 | 1,535 | 1,604 | 1,685 |
| Public administration | 21 | 19 | 27 | 26 | 22 | 27 | 60 | 69 | 69 | 62 | 59 |
| Other service industries | 1,114 | 1,163 | 1,199 | 1,285 | 1,417 | 1,538 | 1,618 | 1,799 | 1,936 | 1,949 | 2,153 |
| C. INSTITUTIONAL CLASSIFICATION: | | | | | | | | | | | |
| Private enterprise | 6,402 | 6,724 | 6,963 | 6,553 | 6,515 | 7,409 | 7,568 | 8,013 | 8,310 | 9,101 | 9,707 |
| Public enterprise | 1,245 | 1,280 | 1,321 | 1,216 | 1,306 | 1,433 | 1,580 | 1,822 | 1,703 | 1,772 | 1,776 |
| General government | 951 | 907 | 1,014 | 1,105 | 1,139 | 1,131 | 1,287 | 1,503 | 1,681 | 1,680 | 1,718 |

1. According to OECD definitions, which do not include maintenance and repair.

*Source:* Norwegian submission to the OECD.

## TABLE VII. GROSS FIXED ASSET FORMATION IN PER CENT OF GDP CONTRIBUTION

| | ALL SECTORS | | | TOTAL, EXCLUDING TRANSPORTATION AND COMMUNICATIONS | | | MANUFACTURING AND CONSTRUCTION | | |
|---|---|---|---|---|---|---|---|---|---|
| | 1956 | 1960 | 1965 | 1956 | 1960 | 1965 | 1956 | 1960 | 1965 |
| Canada | 28.9 | 25.2 | 28.0 | 25.6 | 21.4 | 25.1 | 17.0 | 12.9 | 16.9 |
| United States | 19.7 | 18.5 | 19.0 | 21.7 | 20.6 | 21.8 | .. | .. | .. |
| Japan | 26.3 | 33.4 | 34.4 | .. | .. | .. | .. | .. | .. |
| Belgium | 20.2 | 21.0 | 23.3 | .. | .. | .. | 15.2 | 16.0 | 18.2 |
| Denmark | 18.3 | 22.0 | 25.5 | 16.2 | 19.9 | 20.9[1] | 6.5 | 11.1 | 11.0[1] |
| France | 20.9 | 21.9 | 25.7 | 16.2 | 16.6 | 19.7 | 9.7 | 11.2 | 12.2 |
| Germany | 26.2 | 27.6 | 30.6 | 20.4 | 22.0 | 24.4 | 13.6 | 14.2 | 15.0 |
| Italy | 23.3 | 25.2 | 21.4 | 22.4 | 24.2 | 20.8 | .. | .. | .. |
| Netherlands | 27.8 | 26.0 | 27.3 | 25.2 | 23.3 | 27.1 | .. | .. | .. |
| Norway | 30.7 | 31.6 | 32.1 | 24.6 | 26.0 | 26.4 | 14.9 | 16.5 | 18.6 |
| Sweden | 21.7 | 24.7 | 26.8 | .. | .. | .. | .. | .. | .. |
| Switzerland | 22.1 | 25.2 | 30.0 | .. | .. | .. | .. | .. | .. |
| United Kingdom | 17.1 | 18.3 | 20.5 | .. | .. | .. | 11.9 | 11.4 | 11.5 |

1. 1964.

*Source:* OECD, National Accounts Statistics 1956-1965.

## TABLE VIII. MAIN ECONOMIC INDICATORS

| | | 1964 | | | | 1965 | | | | 1966 | | | | 1967 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | 1st QTR. | 2nd QTR. | 3rd QTR. | 4th QTR. | 1st QTR. | 2nd QTR. | 3rd QTR. | 4th QTR. | 1st QTR. | 2nd QTR. | 3rd QTR. | 4th QTR. | 1st QTR. |
| NATIONAL PRODUCT (billion 1961 kroner): | | | | | | | | | | | | | | |
| Gross domestic product | orig. | 10.51 | 10.78 | 12.33 | 11.38 | 11.18 | 11.27 | 12.95 | 12.01 | 11.64 | 11.88 | 13.63 | 12.40 | 12.14 |
| | adj. | 10.97 | 11.27 | 11.26 | 11.49 | 11.67 | 11.79 | 11.82 | 12.14 | 12.15 | 12.43 | 12.44 | 12.54 | 12.67 |
| Gross fixed investment | orig. | 3.77 | 4.14 | 4.14 | 4.58 | 4.27 | 4.56 | 4.49 | 4.46 | 4.29 | 4.45 | 4.62 | 5.36 | 5.15 |
| | adj. | 3.88 | 4.00 | 4.26 | 4.46 | 4.42 | 4.41 | 4.62 | 4.33 | 4.45 | 4.31 | 4.76 | 5.20 | 5.34 |
| INDUSTRIAL PRODUCTION (1960 = 100): | | | | | | | | | | | | | | |
| Total | orig. | 123 | 128 | 117 | 137 | 138 | 133 | 124 | 144 | 145 | 138 | 129 | 153 | 148 |
| | adj. | 121 | 125 | 127 | 128 | 132 | 134 | 135 | 136 | 138 | 139 | 140 | 144 | 147 |
| Export goods | orig. | 143 | 151 | 143 | 153 | 158 | 161 | 159 | 166 | 175 | 171 | 166 | 179 | 177 |
| | adj. | 142 | 148 | 149 | 154 | 154 | 159 | 161 | 164 | 162 | 166 | 168 | 176 | 172 |
| Investment goods | orig. | 104 | 108 | 95 | 119 | 120 | 113 | 102 | 126 | 131 | 117 | 109 | 137 | 133 |
| | adj. | 103 | 106 | 108 | 109 | 114 | 115 | 116 | 116 | 124 | 120 | 123 | 126 | 133 |
| Consumer goods | orig. | 112 | 120 | 108 | 126 | 122 | 121 | 111 | 132 | 129 | 125 | 114 | 138 | 129 |
| | adj. | 115 | 115 | 116 | 117 | 120 | 121 | 120 | 123 | 125 | 126 | 124 | 128 | 131 |
| NEW ORDERS: | | | | | | | | | | | | | | |
| Metal product industries (1960 = 100) | | 186 | 172 | 182 | 192 | 198 | 194 | 183 | 243 | 246 | 230 | 198 | 230 | 183 |
| CONSTRUCTION: | | | | | | | | | | | | | | |
| New housing started (thousands) | | 4.67 | 8.26 | 8.63 | 7.32 | 4.78 | 8.58 | 9.21 | 7.59 | 4.57 | 9.15 | 9.46 | 7.63 | 5.63 |
| RETAIL SALES (1960 = 100) | orig. | 111 | 131 | 136 | 160 | 116 | 145 | 146 | 168 | 126 | 152 | 160 | 182 | 137 |
| | adj. | 129 | 132 | 135 | 140 | 138 | 145 | 144 | 146 | 149 | 152 | 159 | 158 | 164 |
| LABOUR (thousands): | | | | | | | | | | | | | | |
| Employment in manufacturing (all employees) | | 342 | 349 | 351 | 349 | 348 | 354 | 357 | 355 | 355 | 360 | 363 | 362 | 360 |
| Unemployment (registered unemployed)[1] | orig. | 26.6 | 10.1 | 7.2 | 18.2 | 23.1 | 8.7 | 5.3 | 16.3 | 24.3 | 7.9 | 4.0 | 11.6 | 17.6 |
| | adj. | 16.1 | 15.7 | 17.6 | 15.0 | 13.7 | 12.8 | 12.6 | 13.0 | 14.3 | 11.5 | 9.5 | 9.2 | 10.4 |
| Jobs vacant (unfilled vacancies)[1] | orig. | 3.5 | 6.3 | 4.8 | 3.8 | 4.6 | 7.6 | 5.9 | 5.2 | 6.0 | 10.1 | 8.0 | 6.2 | 6.1 |
| | adj. | 4.1 | 4.6 | 4.6 | 5.1 | 5.4 | 5.5 | 5.8 | 7.0 | 7.0 | 7.4 | 7.9 | 8.4 | 7.2 |

1. Quarterly averages of end of month figures.

*Source:* OECD, Main Economic Indicators.

NOTE. Orig.: Series prior to seasonal adjustment.
Adj. : Series adjusted for seasonal variations.

## TABLE IX. WAGES AND PRICES

*1960 = 100.*

| | 1964 | | | | 1965 | | | | 1966 | | | | 1967 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 1st QTR. | 2nd QTR. | 3rd QTR. | 4th QTR. | 1st QTR. | 2nd QTR. | 3rd QTR. | 4th QTR. | 1st QTR. | 2nd QTR. | 3rd QTR. | 4th QTR. | 1st QTR. |
| Hourly earnings in industry[1] | 125 | 129 | 131 | 133 | 135 | 142 | 142 | 145 | 144 | 150 | 156 | 158 | n.a. |
| Consumer prices, total | 115 | 116 | 119 | 119 | 121 | 122 | 123 | 123 | 124 | 125 | 127 | 128 | 129 |
| Food | 118 | 119 | 125 | 123 | 124 | 125 | 126 | 125 | 125 | 127 | 130 | 130 | 130 |
| Non-food | 112 | 113 | 114 | 115 | 118 | 119 | 120 | 121 | 123 | 124 | 125 | 126 | 128 |
| Wholesale prices: | | | | | | | | | | | | | |
| Investment goods | 104 | 104 | 104 | 105 | 107 | 107 | 107 | 107 | 109 | 111 | 111 | 111 | 111 |
| Consumer goods | 111 | 111 | 113 | 112 | 112 | 113 | 113 | 112 | 113 | 113 | 115 | 115 | 116 |
| Raw materials | 109 | 111 | 111 | 114 | 116 | 117 | 116 | 116 | 115 | 114 | 115 | 115 | 115 |
| Building costs (dwellings in Oslo)[2] | 111 | 114 | 115 | 117 | 118 | 121 | 121 | 121 | 123 | 126 | 128 | 128 | 129 |

1. Males only; excluding holiday pay.
2. A/S Stormbull.

*Source:* OECD, Main Economic Indicators and Monthly Bulletin of Statistics, Central Bureau of Statistics.

TABLE X. **IMPORTS BY AREA (COUNTRIES OF ORIGIN)**

| | N. KR. MILLION | | | | | | | PERCENTAGE DISTRIBUTION | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 | 1960 | 1965 | 1966 |
| EFTA | 3,906 | 4,519 | 4,691 | 5,671 | 5,731 | 6,523 | 7,039 | 37.4 | 41.3 | 41.1 |
| Denmark | 430 | 528 | 547 | 778 | 794 | 862 | 997 | 4.1 | 5.5 | 5.8 |
| Sweden | 1,663 | 1,885 | 2,041 | 2,492 | 2,704 | 3,348 | 3,224 | 15.9 | 21.1 | 18.8 |
| Portugal | 23 | 27 | 31 | 31 | 36 | 41 | 46 | 0.2 | 0.3 | 0.3 |
| Switzerland | 151 | 182 | 193 | 199 | 224 | 265 | 302 | 1.4 | 1.7 | 1.8 |
| United Kingdom | 1,571 | 1,811 | 1,781 | 2,083 | 1,876 | 1,902 | 2,350 | 15.1 | 12.0 | 13.7 |
| Austria | 68 | 86 | 98 | 88 | 97 | 105 | 120 | 0.7 | 0.7 | 0.7 |
| EEC | 3,434 | 3,721 | 3,703 | 3,879 | 4,091 | 4,599 | 4,777 | 32.9 | 29.1 | 27.8 |
| Belgium-Luxembourg | 308 | 313 | 326 | 302 | 357 | 380 | 384 | 2.9 | 2.4 | 2.2 |
| France | 337 | 351 | 447 | 474 | 481 | 689 | 532 | 3.2 | 4.4 | 3.1 |
| Netherlands | 595 | 603 | 573 | 662 | 715 | 715 | 758 | 5.7 | 4.5 | 4.4 |
| Italy | 163 | 179 | 249 | 235 | 304 | 318 | 346 | 1.6 | 2.0 | 2.0 |
| Germany | 2,031 | 2,275 | 2,108 | 2,206 | 2,234 | 2,497 | 2,757 | 19.5 | 15.8 | 16.1 |
| Finland | 101 | 165 | 112 | 75 | 86 | 117 | 193 | 1.0 | 0.7 | 1.1 |
| Other European countries | 496 | 497 | 511 | 560 | 774 | 693 | 745 | 4.7 | 4.4 | 4.3 |
| African countries | 272 | 276 | 370 | 267 | 383 | 375 | 364 | 2.6 | 2.4 | 2.1 |
| Canada | 510 | 533 | 492 | 487 | 510 | 588 | 666 | 4.9 | 3.8 | 3.9 |
| United States | 873 | 798 | 850 | 893 | 1,058 | 1,104 | 1,283 | 8.3 | 7.0 | 7.5 |
| Mid and South America | 540 | 595 | 772 | 638 | 568 | 752 | 784 | 5.2 | 4.8 | 4.6 |
| Asia | 285 | 392 | 323 | 461 | 864 | 955 | 1,239 | 2.7 | 6.0 | 7.2 |
| Oceania + Misc. | 29 | 47 | 61 | 82 | 104 | 81 | 71 | 0.3 | 0.5 | 0.4 |
| Total | 10,446 | 11,543 | 11,885 | 13,013 | 14,169 | 15,787 | 17,161 | 100.0 | 100.0 | 100.0 |

*Source:* **" External Trade " Vol. III and Monthly Bulletin of External Trade, Central Bureau of Statistics.**

## Table XI. EXPORTS BY AREA (COUNTRIES OF DESTINATION)

| | N. KR. MILLION | | | | | | | PERCENTAGE DISTRIBUTION | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 | 1960 | 1965 | 1966 |
| EFTA | 2,735 | 2,853 | 2,853 | 3,110 | 3,974 | 4,416 | 4,820 | 43.5 | 42.8 | 43.2 |
| Denmark | 400 | 525 | 606 | 540 | 629 | 741 | 790 | 6.4 | 7.2 | 7.1 |
| Sweden | 763 | 811 | 924 | 1,048 | 1,309 | 1,620 | 1,698 | 12.1 | 15.7 | 15.2 |
| Portugal | 31 | 21 | 31 | 39 | 34 | 46 | 34 | 0.5 | 0.4 | 0.3 |
| Switzerland | 70 | 71 | 62 | 72 | 92 | 116 | 121 | 1.1 | 1.1 | 1.1 |
| United Kingdom | 1,422 | 1,375 | 1,183 | 1,361 | 1,849 | 1,834 | 2,111 | 22.6 | 17.8 | 18.9 |
| Austria | 49 | 50 | 47 | 50 | 61 | 59 | 66 | 0.8 | 0.6 | 0.6 |
| EEC | 1,616 | 1,648 | 1,872 | 2,063 | 2,417 | 2,584 | 2,710 | 25.7 | 25.1 | 24.3 |
| Belgium-Luxembourg | 134 | 121 | 121 | 127 | 144 | 200 | 213 | 2.1 | 1.9 | 1.9 |
| France | 162 | 215 | 248 | 270 | 371 | 321 | 335 | 2.6 | 3.1 | 3.0 |
| Netherlands | 238 | 223 | 206 | 244 | 310 | 353 | 314 | 3.8 | 3.4 | 2.8 |
| Italy | 218 | 191 | 247 | 254 | 240 | 294 | 352 | 3.5 | 2.9 | 3.2 |
| Germany | 864 | 898 | 1,050 | 1,168 | 1,352 | 1,416 | 1,496 | 13.7 | 13.8 | 13.4 |
| Finland | 125 | 110 | 122 | 139 | 154 | 195 | 237 | 2.0 | 1.9 | 2.1 |
| Other European countries | 428 | 436 | 467 | 617 | 708 | 798 | 940 | 6.8 | 7.7 | 8.4 |
| African countries | 307 | 274 | 287 | 334 | 364 | 509 | 494 | 4.9 | 4.9 | 4.5 |
| Canada | 26 | 32 | 42 | 41 | 49 | 68 | 88 | 0.4 | 0.6 | 0.8 |
| United States | 428 | 549 | 738 | 751 | 853 | 915 | 992 | 6.8 | 8.9 | 8.9 |
| Mid and South America | 306 | 314 | 241 | 297 | 282 | 327 | 384 | 4.8 | 3.2 | 3.4 |
| Asia | 237 | 368 | 252 | 244 | 329 | 408 | 405 | 3.8 | 4.0 | 3.6 |
| Oceania and Misc. | 83 | 68 | 68 | 68 | 89 | 89 | 85 | 1.3 | 0.9 | 0.8 |
| Total | 6,291 | 6,652 | 6,942 | 7,664 | 9,219 | 10,309 | 11,155 | 100.0 | 100.0 | 100.0 |

*Source:* "External Trade" Vol. III and Monthly Bulletin of External Trade, Central Bureau of Statistics.

## Table XII. BALANCE OF PAYMENTS

*US $ million.*

| | 1958 | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|---|---|
| Exports, fob | 752 | 816 | 886 | 941 | 982 | 1,084 | 1,298 | 1,453 | 1,575 |
| Imports, fob | —1,264 | —1,273 | —1,394 | —1,558 | —1,603 | —1,775 | —1,922 | —2,153 | —2,343 |
| *Trade balance* | — 512 | — 457 | — 508 | — 617 | — 621 | — 691 | — 624 | — 700 | — 768 |
| Freight and transportation | 394 | 411 | 412 | 449 | 463 | 536 | 587 | 628 | 649 |
| Travel | — 7 | — 8 | — 4 | — 1 | 1 | 7 | 4 | 5 | 10 |
| Investment income | — 31 | — 33 | — 38 | — 40 | — 47 | — 58 | — 65 | — 70 | — 77 |
| Government transactions | 9 | 18 | 19 | 13 | 20 | 16 | 32 | 11 | 19 |
| Other services | — 10 | — 9 | — 7 | — 3 | — 3 | — 1 | — 16 | 11 | — 1 |
| *Balance on goods and services* | — 157 | — 78 | — 126 | — 199 | — 187 | — 191 | — 82 | — 115 | — 168 |
| Net unilateral transfers | 6 | 9 | 20 | 15 | 12 | 11 | 9 | 8 | 6 |
| *Balance on current account* | — 151 | — 69 | — 106 | — 184 | — 175 | — 180 | — 73 | — 107 | — 162 |
| Net private long-term borrowing | 119 | 154 | 41 | 115 | 85 | 186 | 92 | 166 | 147 |
| Net private short-term borrowing | 24 | — 46 | 49 | — 22 | 48 | — 11 | — 21 | 27 | — 2 |
| Net local government borrowing | 13 | 3 | 17 | 12 | 10 | 9 | 48 | 24 | 11 |
| Net central government borrowing | — 3 | — 27 | 6 | — 4 | — 6 | 45 | 16 | 14 | — 20 |
| Errors and omissions | 26 | 7 | 13 | 11 | 14 | 6 | — 24 | 32 | 21 |
| *Overall balance* | 28 | 22 | 20 | — 72 | — 24 | 55 | 38 | 156 | — 5 |
| Increase in commercial banks' net foreign assets | — 10 | — 19 | — 8 | — 69 | — 21 | 4 | — 1 | 70 | — 58 |
| Increase in National Bank's net foreign assets | 38 | 41 | 28 | — 3 | — 3 | 51 | 39 | 86 | 53 |

*Source:* Norwegian submission to the OECD.

## TABLE XIII. SHIPPING INCOME AND EXPENDITURE ABROAD

*N.Kr. million.*

| | 1958 | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|---|---|
| Net freight earnings[1] | 2,718 | 2,835 | 2,951 | 3,074 | 3,148 | 3,491 | 3,935 | 4,287 | 4,356 |
| Net borrowing abroad | 822 | 875 | 74 | 1,097 | 540 | 1,069 | 300 | 631 | 483 |
| *Net income and borrowing abroad* | 3.540 | 3,710 | 3,025 | 4,171 | 3,688 | 4,560 | 4,235 | 4,918 | 4,839 |
| Expenditure on imports of ships[2] | 2,155 | 1,907 | 1,219 | 1,772 | 1,450 | 1,840 | 1,495 | 2,027 | 1,764 |
| *Surplus on shipping operations abroad* | 1,385 | 1,803 | 1,806 | 2,399 | 2,238 | 2,720 | 2,740 | 2,891 | 3,075 |

1. Interest on mortgage loans abroad deducted.
2. Less exports of ships.

*Source:* Norwegian Ministry of Commerce.

## TABLE XIV. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1]

FISCAL YEARS = CALENDAR YEARS

*N.Kr. million.*

| | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966[2] | 1967[3] |
|---|---|---|---|---|---|---|---|---|---|
| 1. Current revenue | 8,115 | 8,513 | 9,445 | 10,607 | 11,485 | 12,570 | 14,451 | 15,812 | 17,348 |
| Direct taxes | 3,127 | 3,183 | 3,533 | 4,207 | 4,617 | 5,135 | 5,895 | 6,532 | 7,509 |
| Indirect taxes | 4,238 | 4,498 | 4,964 | 5,373 | 5,751 | 6,393 | 7,287 | 7,923 | 8,362 |
| Other | 750 | 832 | 948 | 1,027 | 1,117 | 1,042 | 1,269 | 1,357 | 1,477 |
| 2. Current expenditure | 6,641 | 7,037 | 7,699 | 8,715 | 9,835 | 10,733 | 12,655 | 13,799 | 15,112 |
| Purchase of goods and services | 2,281 | 2,359 | 2,519 | 2,900 | 3,158 | 3,422 | 4,064 | 4,409 | 4,813 |
| Defence | 1,026 | 1,019 | 1,100 | 1,285 | 1,375 | 1,483 | 1,816 | 1,887 | 2,023 |
| Civil | 1,255 | 1,340 | 1,419 | 1,615 | 1,783 | 1,939 | 2,248 | 2,522 | 2,790 |
| Subsidies | 1,195 | 1,351 | 1,467 | 1,499 | 1,729 | 1,688 | 2,236 | 2,347 | 2,350 |
| Interest | 320 | 333 | 361 | 366 | 404 | 452 | 500 | 528 | 559 |
| Current transfers | 2,845 | 2,994 | 3,352 | 3,950 | 4,544 | 5,171 | 5,855 | 6,515 | 7,390 |
| 3. *Net current savings (1 — 2)* | 1,474 | 1,476 | 1,746 | 1,892 | 1,650 | 1,837 | 1,796 | 2,013 | 2,236 |
| 4. Depreciation and other operating provisions | 49 | 58 | 62 | 64 | 71 | 82 | 89 | 93 | 100 |
| 5. *Gross savings (3 + 4)* | 1,523 | 1,534 | 1,808 | 1,956 | 1,721 | 1,919 | 1,885 | 2,106 | 2,336 |
| 6. Gross fixed asset formation | 366 | 403 | 411 | 481 | 571 | 681 | 749 | 792 | 1,003 |
| 7. *Surplus on current and fixed investment account (5 — 6)* | 1,157 | 1,131 | 1,397 | 1,475 | 1,150 | 1,238 | 1,136 | 1,314 | 1,333 |
| 8. Lending | 1,003 | 974 | 1,268 | 1,345 | 1,017 | 1,131 | 1,029 | 1,207 | 1,203 |
| 9. Net capital transfers to other sectors | 154 | 157 | 129 | 130 | 133 | 107 | 107 | 107 | 130 |

1. According to OECD definitions.
2. Provisional.
3. Approved budget.

*Source:* Norwegian submission to the OECD.

## TABLE XV. MONETARY SURVEY

*N.Kr. mill. end of period.*

| | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|---|
| *The Bank of Norway:* | | | | | | | | |
| *Assets:* Gold and net foreign assets | 1,658 | 1,861 | 1,842 | 1,824 | 2,187 | 2,465 | 3,082 | 3,365 |
| Loans and advances | 99 | 75 | 126 | 134 | 131 | 180 | 84 | 202 |
| Norwegian bonds | 189 | 185 | 179 | 176 | 208 | 221 | 214 | 233 |
| *Liabilities:* Notes in circulation | 3,675 | 3,823 | 4,043 | 4,287 | 4,517 | 4,756 | 5,118 | 5,501 |
| Government current account | 2,089 | 1,980 | 1,816 | 1,534 | 1,544 | 1,395 | 1,281 | 1,069 |
| Other public accounts | 606 | 655 | 670 | 775 | 762 | 779 | 769 | 778 |
| Commercial and savings banks | 707 | 704 | 643 | 552 | 626 | 662 | 806 | 883 |
| *Commercial banks:* | | | | | | | | |
| *Assets:* Cash | 143 | 151 | 155 | 183 | 193 | 190 | 183 | 190 |
| Deposits, Bank of Norway | 660 | 666 | 634 | 554 | 603 | 713 | 831 | 844 |
| Deposits, commercial banks | 544 | 633 | 623 | 586 | 589 | 641 | 788 | 638 |
| Deposits, foreign banks[1] | 784 | 917 | 847 | 782 | 916 | 970 | 1,550 | 1,218 |
| Domestic and foreign bonds[1] | 632 | 650 | 682 | 683 | 781 | 1,021 | 1,187 | 1,347 |
| Domestic loans[1] | 5,472 | 6,132 | 7,241 | 7,809 | 8,221 | 8,951 | 9,462 | 10,469[3] |
| *Liabilities:* Domestic deposits | 5,763 | 6,172 | 6,430 | 6,765 | 7,240 | 8,088 | 9,141 | 9,767 |
| Deposits from abroad[1] | 321 | 413 | 290 | 290 | 412 | 404 | 409 | 417 |
| *Net stock of foreign exchange*[2] | 3,187 | 3,511 | 3,752 | 3,503 | 3,858 | 4,423 | 5,726 | 5,942 |

1. Some rearrangement of data from 1961 impedes comparison with earlier years (1959-1960).
2. In the Bank of Norway, commercial banks, shipping firms and insurance companies. Including IMF net position and gold.
3. See note 3 to Table XVI.

*Source:* Monthly Bulletin of Statistics, Central Bureau of Statistics.

## TABLE XVI. CREDIT SURVEY

*N.Kr. mill. end of period.*

| | 1959 | 1960 | 1961 | 1962 | 1963 | 1964 | 1965 | 1966 |
|---|---|---|---|---|---|---|---|---|
| Lending by financial institutions[1]: | | | | | | | | |
| Bank of Norway | 73 | 59 | 85 | 109 | 99 | 88 | 66 | 98 |
| Commercial banks[2] | 5,472 | 6,132 | 7,241 | 7,809 | 8,221 | 8,951 | 9,463 | 10,469[3] |
| Savings banks[2] | 4,782 | 5,204 | 5,718 | 6,172 | 6,656 | 7,129 | 7,623 | 8,319[3] |
| State banks | 6,224 | 6,728 | 7,329 | 7,924 | 8,628 | 9,376 | 10,215 | 10,961 |
| Post Office Savings Bank | 266 | 296 | 321 | 364 | 393 | 429 | 449 | 468 |
| Life insurance companies | 2,015 | 2,279 | 2,603 | 2,919 | 3,240 | 3,591 | 3,970 | 4,362 |
| Loan associations, etc. | 1,594 | 1,789 | 1,969 | 2,199 | 2,332 | 2,653 | 3,031 | 3,400 |
| Total | 20,426 | 22,487 | 25,266 | 27,496 | 29,569 | 32,217 | 34,817 | 38,077 |
| Lending by borrowing sector: | | | | | | | | |
| Agriculture, forestry | 1,958 | 2,146 | 2,348 | 2,391 | 2,569 | 2,719 | 2,849 | |
| Fishing and whaling | 404 | 390 | 440 | 553 | 530 | 539 | 939 | |
| Mining and manufacturing | 3,085 | 3,255 | 3,819 | 4,355 | 4,591 | 5,154 | 5,732 | |
| Electricity, gas and water works | 1,069 | 1,058 | 1,104 | 1,173 | 1,299 | 1,484 | 1,542 | n.a. |
| Wholesale and retail trade | 1,834 | 2,024 | 2,349 | 2,431 | 2,681 | 2,890 | 3,103 | |
| Real estate and private persons | 9,244 | 10,444 | 11,218 | 12,222 | 13,381 | 14,644 | 15,461 | |
| Shipping | 1,610 | 1,961 | 2,224 | 2,351 | 2,229 | 2,215 | 2,140 | |
| Other industries | 954 | 1,136 | 1,225 | 1,359 | 1,556 | 1,695 | 1,991 | |
| Total | 20,158 | 22,414 | 24,727 | 26,835 | 28,836 | 31,340 | 33,757 | |

1. Including some lending to sectors not specified below.
2. Some rearrangement of data from 1961 and onwards impedes comparison with 1960.
3. A part of the increase from 1965 to 1966 is due to rearrangement of data to the net effect of Kr. 69 million for commercial and Kr. 2 million for savings banks (end of 1966).

*Sources:* Economic Bulletin, Bank of Norway and Monthly Bulletin of Statistics, Central Bureau of Statistics.

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